

COVER SHEET

00000086335

S.E.C. Registration Number

[illegible]

(Company's Full Name)

F	E	L	I	X	R	E	Y	E	S	S	T	.	,														
B	R	G	Y	.	B	A	L	I	B	A	G	O	,	S	T	A	.	R	O	S	A						
C	I	T	Y	,	L	A	G	U	N	A														4	0	2	6

(Business Address: No. Street City / Town / Province)

Jesse C. Teo
Chief Financial Officer

Contact Person

(02) 7759 7519

Company Telephone Number

1	2
---	---

Month Day
Fiscal Year

3	1
---	---

SEC Form 17-Q

Form Type

06

27

Month Day
Annual Meeting

**Issuer of Securities under SEC-MSRD
No. 27, Series of 2021**

Secondary License Type, If Applicable

M	S	R	D
---	---	---	---

Dept. Requiring this Doc.

Amended Articles Number/Section

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

--	--	--	--	--	--	--	--	--

File Number

LCU

--	--	--	--	--	--	--	--	--

Document I.D.

Cashier

STAMPS

Remarks = pls. use black ink for scanning purposes

SEC Number
0000086335
File Number_____

Monde Nissin Corporation
(Company's Full Name)

Felix Reyes St. Balibago 4026, City of Santa Rosa, Laguna
(Company's Address)

(632) 7759 7519
Telephone Number

June 30, 2025
(Quarter Ending)
(month & day)

Form 17-Q
Form Type

N/A
Designation (If applicable)

June 30, 2025
Period Date Ended

Issuer of Securities under SEC-MSRD No. 27, Series of 2021
(Secondary License Type and File Number)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **June 30, 2025**
2. Commission Identification Number **0000086335**
3. BIR Tax Identification No. **000-417-352-000**
4. Exact name of issuer as specified in its charter: **Monde Nissin Corporation**
5. Province, country or other jurisdiction of incorporation or organization: **Laguna, Philippines**
6. Industry Classification Code: (SEC Use Only)
7. Address of issuer's principal office Postal Code
Felix Reyes St., Barangay Balibago, City of Santa Rosa, Laguna **4026**
8. Issuer's telephone number, including area code
(632) 7759 7595
9. Former name, former address and former fiscal year, if changed since last report
Not applicable
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class stock outstanding and amount	Number of shares of common	of debt outstanding
<u>Common</u>	<u>17,968,611,496</u>	

11. Are any or all of the securities listed on a Stock Exchange?

Yes [✓] No []

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

The common shares are listed on the Philippine Stock Exchange.

12. Indicate by check mark whether the registrant:

has filed all reports required to be filed since it became listed on June 1, 2021 in accordance with Section 17 of the SRC, SRC Rule 17, Sections 11 of the RSA, RSA Rule 11(a)-1, and Sections 26 and 141 of the Corporation Code of the Philippines

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

PART I--FINANCIAL INFORMATION

Item 1. Financial Statements.

	Unaudited Interim Condensed Consolidated Statements of Financial Position as at June 30, 2025 with Comparative Audited Figures as at December 31, 2024
	Unaudited Interim Condensed Consolidated Statements of Comprehensive Income for the Quarters and Six Months Ended June 30, 2025 and 2024
	Unaudited Interim Condensed Consolidated Statements of Changes in Equity for the Six Months Ended June 30, 2025 and 2024
	Unaudited Interim Condensed Consolidated Statements of Cash Flows for the Six Months Ended June 30, 2025 and 2024
	Notes to Unaudited Interim Condensed Consolidated Financial Statements

MONDE NISSIN CORPORATION AND SUBSIDIARIES**UNAUDITED INTERIM CONDENSED CONSOLIDATED****STATEMENTS OF FINANCIAL POSITION****(Amounts in thousands, with Comparative Audited Figures as at December 31, 2024)**

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5 and 22)	₱11,053,297	₱14,158,203
Trade and other receivables (Notes 6, 20 and 22)	7,153,516	7,709,717
Inventories (Note 7)	8,762,450	8,920,788
Prepayments and other current assets (Note 8)	1,907,258	1,326,147
Current financial assets (Notes 9, 20 and 22)	2,390,592	1,812,489
Total Current Assets	31,267,113	33,927,344
Noncurrent Assets		
Noncurrent receivables (Notes 9, 20 and 22)	1,405,318	1,320,296
Guaranty asset (Notes 10 and 22)	8,296,598	8,128,814
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 10 and 22)	658,120	813,971
Investments in associates and joint ventures (Note 4)	1,140,752	1,133,847
Property, plant and equipment (Note 11)	25,901,383	25,506,662
Intangible assets (Note 12)	5,856,086	5,456,069
Deferred tax assets - net (Note 21)	971,392	1,007,502
Other noncurrent assets (Notes 13 and 22)	925,656	792,243
Total Noncurrent Assets	45,155,305	44,159,404
	₱76,422,418	₱78,086,748
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 14, 20 and 22)	₱11,110,659	₱12,550,324
Acceptances and trust receipts payable (Notes 7 and 22)	748,142	1,608,501
Refund liabilities (Note 14)	344,948	378,784
Current portion of lease liabilities	92,915	77,620
Current portion of loans payable (Note 15)	—	364,239
Income tax payable	496,848	557,803
Total Current Liabilities	12,793,512	15,537,271
Noncurrent Liabilities		
Lease liabilities	2,452,284	2,522,145
Pension liability	1,308,748	1,284,907
Loans payable (Note 15)	1,179,541	2,842,396
Derivative liability	348,874	288,604
Deferred tax liabilities - net (Note 21)	30,733	32,267
Other noncurrent liabilities	26,171	40,256
Total Noncurrent Liabilities	5,346,351	7,010,575
Total Liabilities	18,139,863	22,547,846
Equity		
Capital stock (Note 16)	8,984,306	8,984,306
Additional paid-in capital (APIC) (Note 16)	39,361,947	39,361,947
Retained earnings (Note 16):		
Appropriated	211,452	211,452
Unappropriated	2,811,522	1,095,599
Fair value reserve of financial assets at FVOCI	(505,818)	(349,967)
Remeasurement losses on pension liability	(595,305)	(595,305)
Equity reserve (Note 16)	8,483,056	8,491,129
Cumulative translation adjustments (Note 16)	(652,447)	(1,832,647)
Equity Attributable to Equity Holders of the Parent Company	58,098,713	55,366,514
Non-controlling Interests	183,842	172,388
Total Equity	58,282,555	55,538,902
	₱76,422,418	₱78,086,748

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MONDE NISSIN CORPORATION AND SUBSIDIARIES
UNAUDITED INTERIM CONDENSED CONSOLIDATED
STATEMENTS OF COMPREHENSIVE INCOME
(Amounts in Thousands, Except Earnings Per Share Value)

	Quarters Ended June 30		Six Months Ended June 30	
	2025	2024	2025	2024
NET SALES (Note 17)	₱20,575,789	₱19,824,573	₱41,457,201	₱40,136,015
COST OF GOODS SOLD (Note 17)	14,066,531	13,084,639	27,661,163	26,199,769
GROSS PROFIT	6,509,258	6,739,934	13,796,038	13,936,246
SALES, GENERAL AND ADMINISTRATIVE EXPENSES				
General and administrative expenses (Note 18)	1,987,114	1,896,065	3,877,121	3,769,787
Selling and distribution expenses (Note 18)	2,089,807	1,966,145	3,712,546	3,520,475
Provision for (reversal of) impairment loss (Notes 11 and 18)	(3,078)	—	55,275	16,723
	4,073,843	3,862,210	7,644,942	7,306,985
	2,435,415	2,877,724	6,151,096	6,629,261
OTHER INCOME (EXPENSES)				
Fair value gain (loss) on:				
Guaranty asset (Notes 4 and 10)	(15,230)	(1,542,277)	(304,841)	(1,217,876)
Financial assets at fair value through profit or loss (FVTPL) (Notes 9 and 22)	28,923	13,629	77,567	37,928
Foreign exchange gain (loss) - net (Note 4)	(129,234)	(17,934)	(146,195)	206,260
Share in net earnings from associates and joint ventures	17,938	11,532	6,905	25,741
Miscellaneous income - net (Note 19)	29,233	42,981	210,661	113,518
	(68,370)	(1,492,069)	(155,903)	(834,429)
INCOME BEFORE FINANCE INCOME (EXPENSES)	2,367,045	1,385,655	5,995,193	5,794,832
FINANCE INCOME (EXPENSES)				
Finance costs (Notes 15 and 19)	(115,682)	(189,665)	(243,056)	(343,849)
Finance income (Note 19)	97,466	133,867	197,454	271,263
Derivative gain (loss) (Note 22)	(2,148)	14,152	19,212	39,930
	(20,364)	(41,646)	(26,390)	(32,656)
INCOME BEFORE INCOME TAX	2,346,681	1,344,009	5,968,803	5,762,176
PROVISION FOR (BENEFIT FROM) INCOME TAX				
Current	666,377	770,209	1,511,062	1,718,543
Deferred	3,179	(36,642)	42,872	(53,165)
	669,556	733,567	1,553,934	1,665,378
NET INCOME	₱1,677,125	₱610,442	₱4,414,869	₱4,096,798
NET INCOME ATTRIBUTABLE TO:				
Equity holders of the Parent Company	₱1,677,094	₱606,232	₱4,411,215	₱4,089,727
Non-controlling interests	31	4,210	3,654	7,071
	₱1,677,125	₱610,442	₱4,414,869	₱4,096,798
Earnings per Share (EPS) (Note 16)				
Income attributable to equity holders of the parent	₱0.093	₱0.034	₱0.245	₱0.228

(Forward)

	Quarters Ended June 30		Six Months Ended June 30	
	2025	2024	2025	2024
NET INCOME	₱1,677,125	₱610,442	₱4,414,869	₱4,096,798
OTHER COMPREHENSIVE INCOME (LOSS)				
Other comprehensive income to be reclassified to profit and loss in subsequent periods:				
Exchange gains on foreign currency translation (including effective portion of the net investment hedge) (Note 16)	869,137	1,395,668	1,180,200	1,169,574
Other comprehensive income (loss) not to be reclassified to profit and loss in subsequent periods:				
Gain (loss) on financial assets at FVOCI	(90,230)	65,621	(155,851)	98,432
	778,907	1,461,289	1,024,349	1,268,006
TOTAL COMPREHENSIVE INCOME	₱2,456,032	₱2,071,731	₱5,439,218	₱5,364,804
Total comprehensive income attributable to:				
Equity holders of the Parent Company	₱2,456,001	₱2,067,521	₱5,435,564	₱5,357,733
Non-controlling interests	31	4,210	3,654	7,071
	₱2,456,032	₱2,071,731	₱5,439,218	₱5,364,804

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MONDE NISSIN CORPORATION AND SUBSIDIARIES

UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(Amounts in Thousands, For the six months ended June 30, 2025 and 2024)

	Equity Attributable to Equity Holders of the Parent Company										
	Capital Stock (Note 16)	Additional Paid-in Capital	Retained Earnings (Note 16)		Fair Value Reserve of Financial Assets at FVOCI	Remeasurement Losses on Pension Liability	Equity Reserve (Note 16)	Cumulative Translation Adjustments (Note 16)		Non-controlling Interests (Note 16)	
			Appropriated	Unappropriated					Total		Total Equity
Balance as at January 1, 2025	₱8,984,306	₱39,361,947	₱211,452	₱1,095,599	(₱349,967)	(₱595,305)	₱8,491,129	(₱1,832,647)	₱55,366,514	₱172,388	₱55,538,902
Net income	–	–	–	4,411,215	–	–	–	–	4,411,215	3,654	4,414,869
Other comprehensive income (loss), net of tax	–	–	–	–	(155,851)	–	–	1,180,200	1,024,349	–	1,024,349
Total comprehensive income (loss)	–	–	–	4,411,215	(155,851)	–	–	1,180,200	5,435,564	3,654	5,439,218
Acquisition during the year (Note 4)	–	–	–	–	–	–	(8,073)	–	(8,073)	7,800	(273)
Cash dividends (Note 16)	–	–	–	(2,695,292)	–	–	–	–	(2,695,292)	–	(2,695,292)
Balance as at June 30, 2025	₱8,984,306	₱39,361,947	₱211,452	₱2,811,522	(₱505,818)	(₱595,305)	₱8,483,056	(₱652,447)	₱58,098,713	₱183,842	₱58,282,555
Balance as at January 1, 2024	₱8,984,306	₱39,361,947	₱211,452	₱5,321,590	(₱563,237)	(₱525,874)	₱8,491,788	(₱2,893,488)	₱58,388,484	₱109,904	₱58,498,388
Net income	–	–	–	4,089,727	–	–	–	–	4,089,727	7,071	4,096,798
Other comprehensive income, net of tax	–	–	–	–	98,432	–	–	1,169,574	1,268,006	–	1,268,006
Total comprehensive income	–	–	–	4,089,727	98,432	–	–	1,169,574	5,357,733	7,071	5,364,804
Cash dividends (Note 16)	–	–	–	(2,156,233)	–	–	–	–	(2,156,233)	–	(2,156,233)
Balance as at June 30, 2024	₱8,984,306	₱39,361,947	₱211,452	₱7,255,084	(₱464,805)	(₱525,874)	₱8,491,788	(₱1,723,914)	₱61,589,984	₱116,975	₱61,706,959

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MONDE NISSIN CORPORATION AND SUBSIDIARIES**UNAUDITED INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS****(Amounts in Thousands, For the six months ended June 30, 2025 and 2024)**

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱5,968,803	₱5,762,176
Adjustments to reconcile income before income tax to net cash flows:		
Depreciation and amortization (Notes 11, 12, 17, 18 and 19)	1,370,177	1,274,591
Fair value loss on guaranty asset (Notes 4 and 10)	304,841	1,217,876
Finance costs (Note 19)	243,056	343,849
Finance income (Note 19)	(197,454)	(271,263)
Fair value gain on financial instruments at FVTPL (Note 9)	(77,567)	(37,928)
Provision for impairment loss - net (Notes 11 and 18)	55,275	16,723
Unrealized foreign exchange (gain) loss - net	23,849	(16,714)
Movement in pension liability	23,841	59,792
Derivative gain (Note 22)	(19,212)	(39,930)
Share in net earnings from associates and joint venture	(6,905)	(25,741)
Loss (gain) on sale of property, plant and equipment	(4,412)	4,181
Loss on retirement of intangibles (Note 12)	742	–
Working capital adjustments:		
Decrease (increase) in:		
Trade and other receivables	613,464	272,777
Prepayments and other current assets	(581,111)	2,188
Inventories	158,338	(251,236)
Increase (decrease) in:		
Accounts payable and other current liabilities	(1,288,795)	(2,173,902)
Acceptance and trust receipts payable	(853,612)	1,273,374
Refund liabilities	(33,836)	(41,393)
Net cash generated from operations	5,699,482	7,369,420
Income tax paid	(1,572,017)	(1,659,604)
Interest received	182,495	277,158
Net cash flows from operating activities	4,309,960	5,986,974
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to:		
Current financial assets (Note 9)	(1,727,159)	(2,213,336)
Property, plant and equipment (Note 11)	(1,281,267)	(1,634,428)
Intangible assets (Note 12)	(98,848)	(30,013)
Noncurrent receivables (Notes 9 and 23)	(85,022)	–
Increase in other noncurrent assets	(136,681)	(794,182)
Proceeds from:		
Termination of current financial assets (Note 9)	1,214,466	2,401,289
Sale of property, plant and equipment (Note 11)	45,503	24,148
Net cash used in investing activities	(2,069,008)	(2,246,522)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from (payments for):		
Cash dividends (Note 16)	(2,695,292)	(4,312,466)
Loans (Note 15)	(2,454,282)	(1,999,042)
Interest	(148,806)	(239,273)
Principal portion of lease liabilities	(126,038)	(912,378)
Availment of loans (Note 15)	70,786	–
Derivatives (Note 22)	19,211	15,926
Noncontrolling interest for investment in subsidiary (Note 4)	(273)	–
Increase (decrease) in other noncurrent liabilities	(14,085)	931
Net cash used in financing activities	(5,348,779)	(7,446,302)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(3,107,827)	(3,705,850)
EFFECT OF FOREIGN EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	2,921	14,739
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	14,158,203	16,678,888
CASH AND CASH EQUIVALENTS AT END OF PERIOD	₱11,053,297	₱12,987,777

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MONDE NISSIN CORPORATION AND SUBSIDIARIES

NOTES TO UNAUDITED INTERIM CONDENSED

CONSOLIDATED FINANCIAL STATEMENTS

(Amounts in Thousands, Except Number of Shares, Earnings Per Share Value and Unless Otherwise Specified)

1. General Information

Monde Nissin Corporation (the Parent Company or MNC) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on May 23, 1979 primarily to engage in manufacturing, processing, baking, packaging, servicing, repacking, assembling, importing, exporting, buying, selling, trading or otherwise dealing in all kinds of goods, wares and merchandises, which are or may become articles of commerce such as but not limited to noodles, candies, confectionaries, biscuits, cakes and other foods, drugs and cosmetics. In furtherance of said primary purpose, it is authorized to guarantee obligations of and act as surety for the loans and obligations of its subsidiaries and affiliates and/or to secure the same by mortgage, pledge of any assets of MNC as may be authorized by its Board of Directors (BOD), provided MNC does not operate as a lending or financing company. The Parent Company and its subsidiaries are collectively referred to as the “Group” (see Note 4).

On March 1, 2021, at least a majority of the members of the BOD of the Parent Company and stockholders representing at least two-thirds (2/3) of the outstanding capital stock of the Parent Company approved certain amendments to the Parent Company’s Articles of Incorporation (AOI) including the following: (a) include “noodles” in the articles of commerce that the Parent Company may manufacture, process, service, package, re-package, import, export, buy, sell, trade, or otherwise deal in; (b) amend the term of corporate existence from 50 years to a “perpetual corporate term unless the SEC issues a certificate providing otherwise”; (c) increase the number of directors of the Parent Company from 7 to 9; and (d) authorized number of shares, as amended, shall be 20,400,000,000 common shares with a par value of ₱0.50 per share, from the par value of ₱1.00 per share. These amendments in the Parent Company’s AOI was approved by the SEC on April 7, 2021.

The Parent Company’s registered office address is at Felix Reyes St., Barangay Balibago, City of Santa Rosa, Laguna.

2. Basis of Preparation and Changes to Group’s Material Accounting Policy Information

Basis of Preparation

The unaudited interim condensed consolidated financial statements have been prepared in accordance with Philippine Accounting Standards (PAS) 34, *Interim Financial Reporting*.

The unaudited interim condensed consolidated financial statements have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL), financial assets at fair value through other comprehensive income (FVOCI) and derivative financial instruments that have been measured at fair value. The unaudited interim condensed consolidated financial statements are presented in Philippine peso, which is the Parent Company’s functional and presentation currency. All values are rounded to the

nearest peso, except when otherwise indicated.

Selected explanatory notes are included to explain events and transactions that are significant to the understanding of the changes in financial position and performance of the Group since the last annual consolidated financial statements as at and for the year ended December 31, 2024. The unaudited interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the Group's annual consolidated financial statements as at and for the year ended December 31, 2024.

Basis of Consolidation

The unaudited interim condensed consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at June 30, 2025 and December 31, 2024. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company using consistent accounting policies as those of the Parent Company.

Changes in Accounting Policies and Disclosures

The accounting policies adopted in the preparation of the unaudited interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements as at and for the year ended December 31, 2024, except for the adoption of amendments effective beginning January 1, 2025, which did not have any significant impact on the Group's financial position or performance, unless otherwise indicated:

- Amendments to PAS 21, *Lack of Exchangeability* – The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

3. Material Accounting Judgments, Estimates and Assumptions

The preparation of the unaudited interim condensed consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, costs and expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, which have the most material effect on the amounts recognized in the unaudited interim condensed consolidated financial statements:

Net Realizable Values (NRV) of Inventories. The Group's estimates of the NRV are based on the most reliable evidence available at the time the estimates are made of the amounts the inventories are expected to be realized. These estimates take into consideration fluctuations of prices or costs directly relating to events occurring after reporting period to the extent that

such events confirm conditions existing at reporting period. A new assessment is made at NRV at each reporting period. Information on the Group's inventories is disclosed in Note 7.

Impairment of Non-Financial Assets

- *Goodwill, Brand and Trademark.* The Group performed its annual impairment test in December and when circumstances indicate that the carrying value may be impaired. The Group's impairment test for goodwill and intangible assets with indefinite lives is based on value-in-use calculations. The key assumptions used to determine the recoverable amount for the different cash generating units were disclosed in the annual consolidated financial statements for the year December 31, 2024.

As at June 30, 2025, management assessed that there have been no significant changes in the assets and liabilities making up the CGUs since December 31, 2024.

Recognition of Deferred Taxes. The Group's assessment on the recognition of deferred tax assets on nondeductible temporary differences is based on the forecasted taxable income of the following reporting periods over which the deductible temporary differences can be utilized. This forecast is based on the Group's past results and future expectations on revenues and expenses. Information on the Group's recognized deferred taxes is disclosed in Note 21.

Assessment of Impairment of Property, plant and equipment. The Group assesses impairment of property, plant and equipment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. The factors that the Group consider important, which could trigger an impairment review include the following:

- Significant under-performance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business; and
- Significant negative industry and economic trends.

In 2025, MNSPL assessed that the VIU of a certain property, plant and equipment is zero since the asset pertains to discontinued product line with no expected cash flow. This is an indication of impairment resulting in an impairment loss of ₱55.3 million as at June 30, 2025 (see Notes 11 and 18). Management assessed that any scrap value (FVLCD) is not material.

There are no impairment indicators identified on other property, plant and equipment of the Group in 2025 and 2024. Information on the Group's property, plant and equipment is disclosed in Note 11.

Estimation of Legal contingencies and Regulatory Assessments. As at June 30, 2025 and December 31, 2024, the Group is involved in various legal proceedings and regulatory assessments, and management believes that these proceedings will not have a material effect on the consolidated financial statements. Disclosure of additional details beyond the present disclosures may seriously prejudice the Group's position and negotiating strategy.

The Group, in consultation with its external and internal legal and tax counsels, believes that

its position on these assessments is consistent with relevant laws and believe that these proceedings will not have a material adverse effect on the consolidated financial statements. However, it is possible that future results of operations could be materially affected by changes in the estimates or the effectiveness of management's strategies relating to these proceedings. As at June 30, 2025 and December 31, 2024, management has assessed that the probable cash outflow to settle these assessments is not material.

As allowed by PAS 37, *Provisions, Contingent Liabilities, and Contingent Assets*, no further disclosures were provided as this might prejudice the Group's position on this matter.

4. Subsidiaries, Significant Acquisitions and Disposals, and Segment Information

The unaudited interim condensed consolidated financial statements comprise the financial statements of the Parent Company and the following subsidiaries, which are prepared for the same reporting period as at June 30, 2025 and December 31, 2024, are set out below:

Subsidiaries	Principal Activity	Country of Incorporation	Percentage of Ownership			
			2025		2024	
			Direct	Indirect	Direct	Indirect
MNSPL	Investment/sales	Singapore	100.00	–	100.00	–
MNUKL	Investment holding	United Kingdom	–	100.00	–	100.00
Marlow Foods Limited	Manufacturing, Sales, and Marketing	United Kingdom	–	100.00	–	100.00
Quorn Smart Life GmbH	Sales, and Marketing	Germany	–	100.00	–	100.00
Quorn Foods Inc	Sales, and Marketing	United States (US) of America	–	100.00	–	100.00
Cauldron Foods Ltd*	Sales, and Marketing	United Kingdom (UK)	–	100.00	–	100.00
Quorn Foods Sweden	Sales, and Marketing	Sweden	–	100.00	–	100.00
MNNZ	Distribution of food related goods	New Zealand	–	100.00	–	100.00
MNHTL**	Investment company	Thailand	–	6.54	–	6.54
Monexco International Limited (MIL)	Manufacture of seasonings	Thailand	–	100.00	–	100.00
MNTH**	Manufacture and distribution of bread and cookies	Thailand	–	56.48	–	56.48
DSHPL***	Investment holding	Singapore	–	49.00	–	49.00
Sun Operation Co., Ltd.	Manufacture and distribution of animal food and care products	Thailand	–	100.00	–	100.00
MNIIL	Investment company	British Virgin Islands	100.00	–	100.00	–
MNHTL**	Investment company	Thailand	–	93.46	–	93.46
MNTH**	Manufacture and distribution of bread and cookies	Thailand	–	43.52	–	43.52
KBT International Holdings, Inc. (KBT)	Investment company	Philippines	100.00	–	100.00	–
MNAC*	Manufacture, process, and distribution of industrial coconut and agricultural products	Philippines	90.91	–	90.91	–
SFC	Manufacture and process of bread	Philippines	80.00	–	80.00	–
All Fit & Popular Foods Inc. (AFPFI)	Manufacturing, importing, exporting, selling and distribution of breads; Purchasing or registering intellectual properties	Philippines	–	80.00	–	80.00
Monde M.Y. San Corporation (MMYSC)	Manufacture, process, and export of biscuits	Philippines	100.00	–	100.00	–
Amico Innovations, Inc. (Amico)	Wholesale and retail trade of goods, wares, and merchandises	Philippines	70.00	–	70.00	–

*Dormant

**The Group effectively owns 100%

***The Group has determined that it has significant control as it has the power to direct the relevant activities

a. Investment in MNSPL

In 2025, 2024 and 2023, MNC's BOD approved to subscribe additional ordinary shares of MNSPL payable in several tranches.

Approval date	Payment date	No. of shares	Amount in GBP	Amount in PHP
<i>(In Thousands, Except No. of shares)</i>				
May 10, 2023	May 15, 2023	23,000,000	£23,000	₱1,606,083
May 10, 2023	June 23, 2023	2,000,000	2,000	141,992
May 10, 2023	July 11, 2023	7,500,000	7,500	535,344
May 10, 2023	July 19, 2023	7,500,000	7,500	534,219
August 9, 2023	August 21, 2023	3,956,735	3,957	286,070
August 9, 2023	August 22, 2023	7,227,500	7,227	518,365
August 9, 2023	September 1, 2023	4,815,765	4,816	345,483
September 22, 2023	April 4, 2025	4,000,000	4,000	291,019
February 21, 2024	March 5, 2024	27,000,000	27,000	1,916,479
July 29, 2024	April 4, 2025	5,000,000	5,000	363,774
	In one or several tranches on or before December 31, 2025			
May 9, 2025	31, 2025	26,400,000	26,400	2,038,054

b. Investment in MNUKL

In 2024, MNSPL subscribed and paid for 27,000,000 additional shares of MNUKL at an aggregate subscription price of GBP27.0 million.

In 2025, MNSPL subscribed to an additional 25,000,000 shares of MNUKL at an aggregate subscription price of GBP25.0 million, payable in several tranches. As at June 30, 2025, MNUKL has subscribed shares receivable from MNSPL at an aggregate price of GBP7.0 million.

c. Investment in KBT

In 2024, the Parent Company subscribed and paid for 1,250,000 additional ordinary shares in KBT at an aggregate subscription price of ₱1,100.0 million.

In 2025, the Parent Company acquired and paid for 53,432 shares representing the non-controlling interest in KBT for a total consideration of ₱8.1 million.

d. Investment in Amico Innovations, Inc.

On September 9, 2024, the Parent Company's executive committee authorized the Parent Company to subscribe for 87,500 common shares of Amico to be issued out of Amico's

existing unissued authorized capital stock. Amico is a Philippine domestic corporation newly incorporated for the primary purpose of engaging in the importing, exporting, repacking, processing, buying, selling, marketing, distributing, trading or otherwise dealing in (on wholesale basis and to the extent allowed under Philippine law, on retail basis) all kinds of goods, wares, and merchandises, which are or may become articles of commerce, among others.

On September 23, 2024, the Parent Company paid an aggregate subscription price of ₱17.5 million for the Amico shares. As a result, the Parent Company currently holds 70% of Amico's issued and outstanding capital stock.

On May 9, 2025, the Parent Company's BOD approved and authorized the Parent Company to subscribe to an additional 91,000 ordinary shares in Amico for a total subscription price of ₱18.2 million, payable in several tranches on or before September 30, 2025. As at June 30, 2025, Amico has subscribed shares receivable from the Parent Company at an aggregate price of ₱11.7 million.

Equity attributable to noncontrolling interest, excluding the effect of profit or loss for the period, amounted to ₱15.3 million and ₱7.5 million as at June 30, 2025 and December 31, 2024, respectively.

e. Da Sun Holdings Pte. Ltd. (DSHPL)

On October 15, 2024, MNSPL subscribed and paid for an aggregate of 93,097 shares of DSHPL at the aggregate issue price of ₱16.2 million (THB9,309.7 million). DSHPL is an investment holding company incorporated under the laws of Singapore. As a result, MNSPL currently holds 49% of DSHPL's issued and outstanding capital stock. The Group has determined that it has significant control as it has the power to direct the relevant activities of DSHPL, therefore recognizing DSHPL as a subsidiary.

The Group recognized ₱51.2 million equity attributable to noncontrolling interest as at December 31, 2024.

f. Sun Operation Co., Ltd. (Sun Op)

In October 2024, DSHPL subscribed and paid for 224,900 shares of Sun Op at an aggregate issue price of ₱103.0 million (THB61.0 million) representing 100.0% of the total issued and paid-up share capital of Sun Op. Sun Op is a limited company newly incorporated and domiciled in Thailand engaged in the manufacture and distribution of animal food and care products.

Segment Information

For management purposes, the Group is organized into business units based on its products and has 2 reportable segments, as follows:

- Asia-Pacific Branded Food & Beverage (APAC BFB) manufactures and distributes a diverse mix of biscuits, bakery products, beverages, instant noodles and pasta.
- Meat Alternative manufactures and distributes a variety of meat alternative brands and

products to the retail trade and food service customers in the UK, US, Europe (EU) and Asia-Pacific.

In the consumer goods industry, results of operations generally follow seasonality of consumer buying patterns and the Group's sales are affected accordingly. In the Philippines, most food and beverage products, including those of the Group, experience increased sales from October to December related to the Christmas and New Year's season. Seasonality during certain events also affect the Group's sales (e.g. calamities, COVID-19 pandemic, etc.). In addition, seasonality varies across product types as some of the Group's products have distinct seasonality. The Group believes that diversity of its product mix reduces the specific seasonality impact of certain products in its portfolio and concluded that this is not "highly seasonal" in accordance with PAS 34.

No operating segments have been aggregated to form the above reportable operating segments.

The Chief Executive Officer is the Chief Operating Decision Maker and monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on profit or loss and is measured consistently with profit or loss in the consolidated financial statements.

The following tables present the financial information of each of the operating segments in accordance with PFRSs. Inter-segment revenues, and finance income and expenses are eliminated upon consolidation and reflected in the "Eliminations" column.

	June 30, 2025 (Unaudited)			
	APAC BFB	Meat Alternative	Eliminations	Consolidated
Net sales - third parties	₱34,865,114	₱6,596,001	(₱3,914)	₱41,457,201
Costs and expenses	(27,303,324)	(6,581,301)	3,972	(33,880,653)
Depreciation and amortization	(1,062,432)	(307,745)	—	(1,370,177)
Finance income	197,395	22,721	(22,662)	197,454
Derivative gain	14,608	4,604	—	19,212
Finance expense	(122,133)	(143,585)	22,662	(243,056)
Loss on change in FV of guaranty asset	—	(304,841)	—	(304,841)
Foreign exchange loss - net	(145,131)	(1,064)	—	(146,195)
Provision for impairment loss	(55,275)	—	—	(55,275)
Share in net earnings from associates and joint venture	6,905	—	—	6,905
Other income	266,538	21,748	(58)	288,228
Income (loss) before income tax	6,662,265	(693,462)	—	5,968,803
Provision for income tax	1,552,080	1,854	—	1,553,934
Net income (loss)	₱5,110,185	(₱695,316)	₱—	₱4,414,869
Other information				
Total assets	₱74,044,512	₱13,338,913	(₱10,961,007)	₱76,422,418
Total liabilities	₱14,525,063	₱3,767,462	(₱152,662)	₱18,139,863
Investment in associates and joint venture	₱1,140,752	₱—	₱—	₱1,140,752
Capital expenditures	₱956,198	₱325,069	₱—	₱1,281,267

	June 30, 2024 (Unaudited)			
	APAC BFB	Meat Alternative	Eliminations	Consolidated
Net sales - third parties	₱33,341,136	₱6,801,091	(₱6,212)	₱40,136,015
Costs and expenses	(25,214,982)	(7,006,670)	6,212	(32,215,440)
Depreciation and amortization	(967,465)	(307,126)	—	(1,274,591)
Finance income	245,485	35,733	(9,955)	271,263
Derivative gain	39,930	—	—	39,930
Finance expense	(159,055)	(194,749)	9,955	(343,849)
Loss on change in FV of guaranty asset	—	(1,217,876)	—	(1,217,876)
Foreign exchange gain (loss) - net	211,747	(5,487)	—	206,260
Provision for impairment loss	(30,358)	—	13,635	(16,723)
Share in net earnings from associates and joint venture	25,741	—	—	25,741
Other income	151,446	—	—	151,446
Income (loss) before income tax	7,643,625	(1,895,084)	13,635	5,762,176
Provision for (benefit from) income tax	1,814,955	(149,577)	—	1,665,378
Net income (loss)	₱5,828,670	(₱1,745,507)	₱13,635	₱4,096,798

Other information

	December 31, 2024 (Audited)			
	APAC BFB	Meat Alternative	Eliminations	Consolidated
Total assets	₱72,749,449	₱13,785,796	(₱8,448,497)	₱78,086,748
Total liabilities	₱16,971,494	₱5,646,906	(₱70,554)	₱22,547,846
Investment in associates and joint venture	₱1,133,847	₱—	₱—	₱1,133,847

	June 30, 2024 (Unaudited)			
	APAC BFB	Meat Alternative	Eliminations	Consolidated
Capital expenditures	₱1,280,879	₱353,549	₱—	₱1,634,428

Geographic Information

The Group operates in the Philippines, Thailand, New Zealand, Singapore, and the United Kingdom.

The following table shows the distribution of the Group's consolidated revenues to external customers by geographical market, regardless of where the goods were produced:

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
Domestic	₱32,804,488	₱31,152,106
Foreign	8,652,713	8,983,909
	₱41,457,201	₱40,136,015

The Group has no customer which contributes 10% or more to the consolidated revenues of the Group.

The table below shows the Group's carrying amount of non-current assets per geographic location (excluding guaranty asset, noncurrent financial assets at FVOCI, noncurrent receivables, advances to employees under other noncurrent assets, and deferred tax assets).

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Domestic:		
Property, plant and equipment (Note 11)	₱20,615,077	₱20,621,927
Investments in associates and joint ventures	1,140,752	1,133,847
Intangible assets (Note 12)	654,963	635,677
Other noncurrent assets (Note 13)	731,122	566,327
Total	23,141,914	₱22,957,778
Foreign:		
Property, plant and equipment (Note 11)	₱5,286,306	₱4,884,735
Intangible assets (Note 12)	5,201,123	4,820,392
Other noncurrent assets (Note 13)	58,159	125,992
	10,545,588	9,831,119
	₱33,687,502	₱32,788,897

5. Cash and Cash Equivalents

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash on hand and in banks	₱4,803,788	₱4,802,726
Cash equivalents	6,249,509	9,355,477
	₱11,053,297	₱14,158,203

Cash in banks earn interest at the respective bank deposit rates. Cash equivalents are short-term deposits made for varying periods of one month up to three months depending on the immediate cash requirements and earn interest at the respective short-term deposit rates.

6. Trade and Other Receivables

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade receivables		
Non-related parties	₱7,085,534	₱7,648,316
Related parties (Note 20)	19	3
(Forward)		

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Other receivables	₱72,318	₱68,252
	7,157,871	7,716,571
Allowance for expected credit loss (ECL)	(4,355)	(6,854)
	₱7,153,516	₱7,709,717

Trade receivables pertain to receivables from sale of goods which are noninterest-bearing and are generally on 30-60 days' terms.

Other receivables comprise of various receivables from employees, accruals for interest from short term placements, receivable from suppliers, and advances made to employees for SSS claims. These are noninterest-bearing and normally settled through salary deductions.

Movements in the allowance for ECL follow:

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at January 1	₱6,854	₱23,532
Provision for (reversal of) ECL (Note 18)	(1,090)	69,420
Write-off	(1,419)	(86,267)
Currency translation adjustments	10	169
Balance at end of period	₱4,355	₱6,854

7. Inventories

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
At cost:		
Finished goods	₱3,199,841	₱3,464,428
Raw materials	3,189,501	3,104,652
Packaging and other materials	1,098,469	1,014,405
Work in-process	1,064,256	1,063,727
In-transit	210,383	273,576
	₱8,762,450	₱8,920,788

The Group's allowance for inventory obsolescence represents the cost of inventories written down in full. Movements in the allowance for inventory obsolescence are as follows:

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Balance at beginning of year	₱236,747	₱389,145
Provision	15,733	126,588
Write-off	(84,283)	(287,924)
Currency translation adjustments	11,816	8,938
Balance at end of year	₱180,013	₱236,747

The cost of inventories recognized under "Cost of goods sold" account amounted to ₱27,661.2 million and ₱26,199.8 million for the six months ended June 30, 2025 and 2024, respectively (see Note 17).

Under the terms of the agreements covering liabilities under trust receipts totaling ₱748.1 million and ₱1,608.5 million as at June 30, 2025 and December 31, 2024, respectively, certain inventories which approximate the trust receipts payable, have been released to the Group under trust receipt agreement with the banks. The Group is accountable to these banks for the trusted merchandise or their sales proceeds.

8. Prepayments and Other Current Assets

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Prepayments	₱1,010,334	₱606,466
Advances to suppliers	371,732	391,922
Input VAT	364,362	188,367
Creditable withholding tax and other credits	151,281	126,613
Deferred input VAT	7,809	3,603
Other current assets	1,740	9,176
	₱1,907,258	₱1,326,147

9. Current Financial Assets

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Loans receivable:		
Related parties (Note 20)	₱204,710	₱206,759
Others (Note 23)	1,315,874	1,228,803
(Forward)		

Financial assets at FVTPL	₱2,390,592	₱1,812,489
	3,911,176	3,248,051
Allowance for ECL (Note 20)	(115,266)	(115,266)
	₱3,795,910	₱3,132,785
Current portion	₱2,390,592	₱1,812,489
Noncurrent portion	1,405,318	1,320,296
	₱3,795,910	₱3,132,785

Loans receivable from related parties. On July 3, 2024, MNSPL and MNSG Holdings Pte. Ltd. agreed to extend the maturity of ₱171.8 million (\$3.0 million) loan to MNSG Holdings Pte. Ltd. from July 3, 2024 to July 3, 2034. The loan was also converted from interest-bearing to noninterest-bearing resulting to a loss on loan modification. As at June 30, 2025, the interest income on the amortization of financing cost is ₱4.0 million (see Note 19).

On October 15, 2024, MNSPL entered into a new loan agreement with MNSG Holdings Pte Ltd. The loan matures 5 years from date of the agreement. The loan is unsecured, denominated in THB and is noninterest-bearing.

The total loan outstanding amounted to ₱89.4 million (£1.18 million) as at June 30, 2025 (see Note 20).

Others. Other loans receivable pertains to interest-bearing loans receivable from third parties including Sandpiper Spices and Condiments Corporation (SSCC) (see Note 23).

On November 15, 2024, KBT entered into a Loan Agreement with Atlantic Grains, Inc. (AGI) wherein KBT agreed to extend a loan to AGI in the principal amount of ₱545.0 million with an annual interest rate of 50% of BDO Unibank, Inc. (BDO) reference rate applied by BDO in the same calendar year. The loan is for a period of more than 5 years and will mature on December 31, 2029. As at June 30, 2025 and December 31, 2024, the ₱545.0 million loan is still outstanding.

The interest rates used in 2025 and 2024 are 5.75% and 5.75% to 5.875%, respectively.

In 2024, MNSPL entered into a Loan Agreement with a third party, WSJ Holding Pte Ltd. The loan matures 5 years from date of the agreement. The loan is unsecured, denominated in THB with an interest rate of 6% per annum. The interest is payable yearly in arrears on December 31 each year, with the first payment date being December 31, 2025. The principal is repayable in full on December 31, 2029. As at June 30, 2025 and December 31, 2024, the loan outstanding amounted to ₱170.9 million and ₱83.8 million, respectively.

Interest income from loans receivable amounted to ₱20.4 million and ₱4.2 million for the six months ended June 30, 2025 and 2024, respectively (see Note 19).

Financial assets at FVTPL. Financial assets at FVTPL mainly consist of unit investment trust funds (UITFs) and derivatives, including separated embedded derivatives, unless designated as effective hedging instruments. Movements in the fair value of financial assets at FVTPL are as follows:

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Balance at January 1	₱1,812,489	₱2,042,058
Acquisitions	1,727,159	3,459,263
Disposal	(1,214,466)	(3,760,823)
Fair value change during the year	77,567	81,960
Foreign exchange loss	(12,157)	(9,969)
Balance at end of period	₱2,390,592	₱1,812,489

10. Noncurrent Financial Assets

Financial Assets at FVOCI

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Cost		
Figaro Coffee Group, Inc. (FCG)	₱820,268	₱820,268
Wide Faith Investment Holdings Ltd.	235,130	235,130
Terramino Inc.	108,540	108,540
	1,163,938	1,163,938
Fair value adjustment		
FCG	(270,688)	(114,837)
Wide Faith Investment Holdings Ltd.	(235,130)	(235,130)
	(505,818)	(349,967)
	₱658,120	₱813,971

Guaranty Asset at FVTPL

During the financial year ended December 31, 2023, MNSPL entered into an agreement (“Top-Up Deed”) with MNSG Holdings Pte. Ltd., a Singaporean Company owned by a majority of the ultimate beneficial owners of MNSPL (“MNSG”). Under the Top-Up Deed, MNSG has agreed to provide a guarantee equal to the aggregate collateral value of up to a maximum of 2.156 billion shares of MNC or 12.0% of the current outstanding capital stock of MNC for as long as MNC is still the ultimate controlling shareholder of MNSPL’s wholly-owned subsidiary, MNUKL. Said aggregate collateral value shall be reduced by related transaction costs and said net amount shall cover the net cumulative impairment incurred by MNUKL starting from the calendar year ended December 31, 2023 and every year thereafter up to December 31, 2032. MNSPL has recognized a guaranty asset under the Top-Up Deed and engaged an independent valuation expert to determine the fair value of the guaranty asset at inception and as at December 31, 2023. The initial recognition of the guaranty asset is

recognized as an equity transaction under “Equity Reserve”, while subsequent changes in fair value is recognized in profit or loss.

Shown below are the movements in the value of the guaranty asset:

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Guaranty asset:		
Balance at January 1	₹8,128,814	₹10,432,256
Fair value loss on guaranty asset	(304,841)	(2,648,829)
Cumulative translation adjustment	472,625	345,387
	₹8,296,598	₹8,128,814

Sensitivity analysis

The fair value of the guaranty asset is dependent on various inputs such as the forecasted price of the shares serving as collateral over the guaranty, historical volatility for similar companies of Parent Company and MNUKL, interest rate curve, and aggregate impairment loss on MNSPL’s investment in MNUKL.

11. Property, Plant and Equipment

June 30, 2025													
	Land	Land Improvements	Buildings and Improvements	Leasehold Improvements	Plant Machinery and Fixtures	Office Furniture and Equipment	Transportation Equipment	Computer and Communications Equipment	Machineries Under Installation	Construction In-progress	ROU Land	ROU Others	Total
Cost													
Balance at January 1, 2025	₱585,681	₱7,140	₱15,575,725	₱163,884	₱37,706,145	₱543,541	₱162,657	₱395,371	₱1,868,773	₱3,969,729	₱3,786,250	₱799,405	₱65,564,301
Additions	—	—	20,784	490	156,157	11,811	12,438	12,266	134,195	933,126	—	3,412	1,284,679
Disposals and retirement	—	—	(386)	(45,240)	(123,762)	(2,262)	(13,651)	(24,574)	—	(3,593)	—	(55,630)	(269,098)
Reclassifications	—	—	405,022	—	1,103,024	13,258	—	9,389	(342,041)	(1,289,273)	—	—	(100,621)
Foreign currency translation adjustments	23,632	200	449,508	4,356	966,784	13,427	304	9,532	(21,416)	336,940	—	—	1,783,267
Balance at June 30, 2025	609,313	7,340	16,450,653	123,490	39,808,348	579,775	161,748	401,984	1,639,511	3,946,929	3,786,250	747,187	68,262,528
Accumulated Depreciation													
Balance at January 1, 2025	—	5,202	6,212,787	117,298	17,943,897	326,077	66,627	280,685	—	—	484,814	265,165	25,702,552
Depreciation (Notes 17, 18 and 19)	—	159	326,813	2,911	811,243	29,570	11,776	17,725	—	—	52,332	33,313	1,285,842
Disposals and retirement	—	—	(241)	(26,128)	(110,361)	(2,025)	(9,048)	(24,574)	—	—	—	(37,179)	(209,556)
Foreign currency translation adjustments	—	148	73,336	6,305	323,716	3,701	160	5,034	—	—	—	—	412,400
Balance at June 30, 2025	—	5,509	6,612,695	100,386	18,968,495	357,323	69,515	278,870	—	—	537,146	261,299	27,191,238
Accumulated Impairment Loss													
Balance at January 1, 2025	—	—	2,420,974	955	10,120,818	22,280	—	1,791	82,672	1,705,597	—	—	14,355,087
Impairment loss (Note 18)	—	—	—	—	—	—	—	—	—	—	—	55,275	55,275
Foreign currency translation adjustments	—	—	117,258	—	564,199	—	—	—	—	78,088	—	—	759,545
Balance at June 30, 2025	—	—	2,538,232	955	10,685,017	22,280	—	1,791	82,672	1,783,685	—	55,275	15,169,907
Net Book Value	₱609,313	₱1,831	₱7,299,726	₱22,149	₱10,154,836	₱200,172	₱92,233	₱121,323	₱1,556,839	₱2,163,244	₱3,249,104	₱430,613	₱25,901,383

December 31, 2024													
	Land	Land Improvements	Buildings and Improvements	Leasehold Improvements	Plant Machinery and Fixtures	Office Furniture and Equipment	Transportation Equipment	Computer and Communications Equipment	Machineries Under Installation	Construction In-progress	ROU Land	ROU Others	Total
Cost													
Balance at January 1, 2024	₱469,574	₱6,460	₱13,677,344	₱162,584	₱36,093,946	₱535,194	₱165,815	₱446,613	₱1,911,496	₱5,274,208	₱2,898,464	₱641,633	₱62,283,331
Additions	96,735	363	699,900	4,410	861,408	43,676	18,878	7,383	976,767	2,113,623	887,786	206,890	5,917,819
Disposals and retirement	—	—	(540,018)	(5,635)	(2,190,241)	(114,033)	(22,193)	(22,954)	(23,250)	(30,081)	—	(49,118)	(2,997,523)
Reclassifications	—	—	1,580,006	331	2,321,457	71,805	—	(42,414)	(990,430)	(3,520,992)	—	—	(580,237)
Foreign currency translation adjustments	19,372	317	158,493	2,194	619,575	6,899	157	6,743	(5,810)	132,971	—	—	940,911
Balance at December 31, 2024	585,681	7,140	15,575,725	163,884	37,706,145	543,541	162,657	395,371	1,868,773	3,969,729	3,786,250	799,405	65,564,301
Accumulated Depreciation													
Balance at January 1, 2024	—	4,627	5,963,425	105,366	18,312,909	381,195	62,223	343,673	—	—	385,699	212,151	25,771,268
Depreciation (Notes 17, 18 and 19)	—	337	656,716	5,656	1,598,916	55,239	23,658	35,335	—	—	99,115	73,076	2,548,048
Disposals and retirement	—	—	(485,594)	(2,137)	(2,018,504)	(113,103)	(19,306)	(22,422)	—	—	—	(20,062)	(2,681,128)
Reclassifications	—	—	(1,464)	—	(240,649)	—	—	(80,678)	—	—	—	—	(322,791)
Foreign currency translation adjustments	—	238	79,704	8,413	291,225	2,746	52	4,777	—	—	—	—	387,155
Balance at December 31, 2024	—	5,202	6,212,787	117,298	17,943,897	326,077	66,627	280,685	—	—	484,814	265,165	25,702,552

(Forward)

December 31, 2024													
	Land	Land Improvements	Buildings and Improvements	Leasehold Improvements	Plant Machinery and Fixtures	Office Furniture and Equipment	Transportation Equipment	Computer and Communications Equipment	Machineries Under Installation	Construction In-progress	ROU Land	ROU Others	Total
Accumulated Impairment Loss													
Balance at January 1, 2024	—	—	997,622	955	8,466,664	22,280	—	1,791	486,312	1,380,719	—	—	11,356,343
Impairment loss	—	—	1,390,065	—	1,512,334	—	—	—	—	953	—	—	2,903,352
Disposals and retirement	—	—	—	—	—	—	—	—	(49,370)	(157,434)	—	—	(206,804)
Reclassifications	—	—	23,554	—	(112,166)	—	—	—	(354,270)	442,882	—	—	—
Foreign currency translation adjustments	—	—	9,733	—	253,986	—	—	—	—	38,477	—	—	302,196
Balance at December 31, 2024	—	—	2,420,974	955	10,120,818	22,280	—	1,791	82,672	1,705,597	—	—	14,355,087
Net Book Value	₱585,681	₱1,938	₱6,941,964	₱45,631	₱9,641,430	₱195,184	₱96,030	₱112,895	₱1,786,101	₱2,264,132	₱3,301,436	₱534,240	₱25,506,662

The Group recognized net provision for impairment loss on property, plant and equipment amounting to ₱55.3 million and nil for the six months ended June 30, 2025 and 2024, respectively (see Note 18).

For the six months ended June 30, 2024, the Group acquired property, plant and equipment amounting to ₱1,634.4 million and recognized depreciation expense amounting to ₱1,225.8 million (see Note 19).

There are no idle property, plant and equipment nor property, plant and equipment used as collateral as at June 30, 2025 and December 31, 2024.

The Group has capital commitments for acquisitions of machineries and building expansions amounting to ₱1,856.4 million and ₱1,843.6 million as at June 30, 2025 and December 31, 2024, respectively.

12. Intangible Assets

	June 30, 2025							
	Goodwill	Brand	Distribution Rights	License	Trademarks with definite useful life	Trademarks with indefinite useful life	Software	Total
Cost								
Balance at January 1, 2025	₱17,868,843	₱19,405,709	₱727,560	₱66,141	₱7,485	₱14,459	₱1,160,826	₱39,251,023
Additions	—	—	—	—	231	—	98,617	98,848
Disposals and retirement	—	—	—	—	—	—	(22,477)	(22,477)
Reclassifications	—	—	—	—	—	—	100,621	100,621
Foreign currency translation adjustments	1,067,332	1,153,747	—	—	209	—	38,971	2,260,259
Balance at June 30, 2025	18,936,175	20,559,456	727,560	66,141	7,925	14,459	1,376,558	41,688,274
Accumulated Amortization								
Balance at January 1, 2025	—	45,773	378,938	15,220	2,474	—	658,236	1,100,641
Amortization (Notes 17, 18 and 19)	—	—	18,189	3,697	462	—	61,987	84,335
Disposals and retirement	—	—	—	—	—	—	(21,735)	(21,735)
Foreign currency translation adjustments	—	2,733	—	—	78	—	24,754	27,565
Balance at June 30, 2025	—	48,506	397,127	18,917	3,014	—	723,242	1,190,806
Accumulated Impairment Loss								
Balance at January 1, 2025	17,868,843	14,818,339	—	—	—	7,131	—	32,694,313
Foreign currency translation adjustments	1,067,332	879,737	—	—	—	—	—	1,947,069
Balance at June 30, 2025	18,936,175	15,698,076	—	—	—	7,131	—	34,641,382
Net Book Value	₱—	₱4,812,874	₱330,433	₱47,224	₱4,911	₱7,328	₱653,316	₱5,856,086

	December 31, 2024							
	Goodwill	Brand	Distribution Rights	License	Trademarks with definite useful life	Trademarks with indefinite useful life	Software	Total
Cost								
Balance at January 1, 2024	₱17,318,215	₱18,810,500	₱727,560	₱66,141	₱2,593	₱14,459	₱482,640	₱37,422,108
Additions	—	—	—	—	4,764	—	111,121	115,885
Disposals and retirement	—	—	—	—	—	—	(17,859)	(17,859)
Reclassifications	—	—	—	—	—	—	580,237	580,237
Foreign currency translation adjustments	550,628	595,209	—	—	128	—	4,687	1,150,652
Balance at December 31, 2024	17,868,843	19,405,709	727,560	66,141	7,485	14,459	1,160,826	39,251,023
Accumulated Amortization								
Balance at January 1, 2024	—	44,362	342,560	7,827	1,904	—	255,768	652,421
Amortization (Notes 17, 18 and 19)	—	—	36,378	7,393	461	—	95,641	139,873
Disposals and retirement	—	—	—	—	—	—	(17,812)	(17,812)
Reclassifications	—	—	—	—	—	—	322,791	322,791
Foreign currency translation adjustments	—	1,411	—	—	109	—	1,848	3,368
Balance at December 31, 2024	—	45,773	378,938	15,220	2,474	—	658,236	1,100,641
Accumulated Impairment Loss								
Balance at January 1, 2024	17,318,215	10,631,507	—	—	—	7,131	—	27,956,853
Impairment loss (Forward)	—	3,871,692	—	—	—	—	—	3,871,692

	December 31, 2024							
	Goodwill	Brand	Distribution Rights	License	Trademarks with definite useful life	Trademarks with indefinite useful life	Software	Total
Foreign currency translation adjustments	P550,628	P315,140	P—	P—	P—	P—	P—	P865,768
Balance at December 31, 2024	17,868,843	14,818,339	—	—	—	7,131	—	32,694,313
Net Book Value	P—	P4,541,597	P348,622	P50,921	P5,011	P7,328	P502,590	P5,456,069

Amortization of the intangible assets for the six months ended June 30, 2025 and 2024 amounted to P84.3 million and P48.8 million, respectively (see Note 19).

The Group performs its annual impairment test every year-end.

Distribution rights were from the Parent Company's Distribution, and Marketing and Sales Development Agreement with SSCC wherein SSCC appointed the Parent Company as its exclusive distributor of all its products in the Philippines for a period of 20 years until July 25, 2034 (see Note 23).

13. Other Noncurrent Assets

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Advances to suppliers and contractors	P622,598	P488,125
Advances to employees	136,375	99,924
Refundable and other deposits	79,485	77,284
Deferred input VAT for amortization	51,276	88,655
Others	35,922	38,255
	P925,656	P792,243

14. Accounts Payable and Other Current Liabilities and Refund Liabilities

Accounts Payable and Other Current Liabilities

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade payables		
Non-related parties	P5,530,518	P6,265,686
Related parties (Note 20)	59,370	44,196
Nontrade payables	1,933,942	2,931,745
Accruals for:		
Advertising and promotions	1,147,650	591,683
Selling, general and administrative expenses	520,585	585,230
Trade spend	290,481	217,074
Personnel costs	252,846	422,412
Other accruals	248,381	260,704

(Forward)

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Statutory payables	₹958,209	₹1,026,839
Provisions	115,767	118,267
Others	52,910	86,488
	₹11,110,659	₹12,550,324

Other accruals mainly represent accruals for freight, interest payable, non-trade services and are generally settled the following month.

Refund Liabilities

As at June 30, 2025 and December 31, 2024, the Group's refund liabilities consist of the following:

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Refund liabilities:		
Arising from rights of return	₹334,264	₹331,539
Arising from retrospective volume discounts	10,684	47,245
	₹344,948	₹378,784

15. Loans Payable

Description	Maturities	Interest Rates	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
MFL				
£105.0 million term loan	June 2027	Margin and SONIA	₹1,080,786	₹1,966,888
£5.0 million revolving credit facility	September 2023	Margin and SONIA	—	364,239
£4.0 million revolving credit facility	November 2022	Margin and SONIA	—	291,391
£3.0 million revolving credit facility	October 2023	Margin and SONIA	—	218,543
£5.0 million credit facility	September 2024	SONIA and 1.20% p.a.	—	364,239
DSHPL				
₹67.2 million term loan	December 2029	Noninterest-bearing	98,755	27,968
			1,179,541	3,233,268
Unamortized debt issue costs			—	(26,633)
			₹1,179,541	₹3,206,635

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current portion	₹—	₹364,239
Non-current portion	1,179,541	2,842,396
	₹1,179,541	₹3,206,635

MFL Loan

As at June 30, 2025 and December 31, 2024, MFL has outstanding unsecured loans payable amounting to ₹1,080.8 million (£14.0 million) and ₹3,205.3 million (£44.0 million), respectively. The sterling term loan facility amounting to ₹7,789.8 million (£105.0 million) with maturity on June 2027 and interest rate based on Margin and SONIA has the following financial covenants:

- The Group is required to maintain Gross Leverage of less than 3.5x from September 30, 2023 and each quarter thereafter
- The Group is required to maintain an interest cover of greater than 3.0 from September 30, 2023 and each quarter thereafter.

The facility also includes a revolving credit facility of ₹1,112.8 million (£15.0 million) subject to the same financial covenants above. MFL had drawn down ₹926.4 million (£12.0 million) and ₹847.2 million (£12.0 million) as at June 30, 2025 and December 31, 2024, respectively.

In 2023, MFL obtained and drew an uncommitted short term credit facility with a financial institution amounting to ₹375.4 million (£5.0 million).

On June 2025, MFL has settled the loans amounting to ₹2,316.0 million (£30.0 million).

As at June 30, 2025 and December 31, 2024, the Group is in compliance with these covenants.

On the following dates, DSHPL entered into loan agreements with WSJ Holdings Pte. Ltd.

Promissory note date	Amount in THB (in thousands)
October 15, 2024	₹19,710
November 11, 2024	15,668
December 16, 2024	3,879
January 10, 2025	13,500
February 28, 2025	14,400

For the six months ended June 30, 2025 and 2024, interest expense related to the loans amounted to ₹95.2 million and ₹155.9 million, respectively (see Note 19).

The movement in unamortized debt issue costs of loans payable is as follows:

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Loans Payable		
Balance at January 1	₱26,633	₱78,780
Reductions during the period	(5,324)	(6,658)
Amortization during the period (Note 19)	(21,968)	(48,244)
Foreign currency translation adjustments	659	2,755
Total	₱–	₱26,633

For the six months ended June 30, 2024, amortization of debt issue costs amounted to ₱24.3 million (see Note 19).

16. Equity

Capital Stock

The details of the Parent Company's common stock as at June 30, 2025 and December 31, 2024 follows:

Par value per share	₱0.50
Number of shares:	
Authorized	20,400,000,000
Issued and outstanding	17,968,611,496

The total number of stockholders was 24 as at June 30, 2025 and December 31, 2024. With respect to the Parent Company's stockholders as at December 31, 2024, the shares were either held (a) in a certificated form or (b) in scripless form held under the account of PCD Nominee Corp. (PCD Nominee) through trading participants (*i.e.*, brokers and custodians) of the Philippine Depository & Trust Corp. (PDTC). The shares lodged under PCD Nominee are further broken down into PCD Nominee (Filipino) and PCD Nominee (Non-Filipino).

Dividend Declaration

On March 26, 2025, the Parent Company's BOD approved the declaration of regular cash dividends to stockholders of record as of April 25, 2025 for ₱0.15 per common share or ₱2,695.3 million, which was paid on May 22, 2025.

On April 10, 2024 and November 29, 2023, the Parent Company's BOD approved and declared the issuance of regular cash dividends to stockholders of record for ₱0.12 per common share or ₱4,312.4 million, which was paid on June 5, 2024 and January 11, 2024, respectively.

Restriction on Retained Earnings

As at June 30, 2025 and December 31, 2024, undistributed retained earnings of subsidiaries amounting to ₱4,187.3 million and ₱2,796.9 million, respectively, are not available for

dividend declaration until the actual declaration of the subsidiaries. Further, the undistributed retained earnings include appropriated retained earnings of MMYSC and MIL amounting to ₱211.5 million as at June 30, 2025 and December 31, 2024.

Equity Reserve

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Initial recognition of guaranty asset at fair value:		
MNSPL	₱9,104,076	₱9,104,076
Investments:		
MMYSC	(532,573)	(532,573)
MNTH	(115,390)	(115,390)
KBT	35,335	43,408
MNAC	(7,733)	(7,733)
Equity reserve arising from noninterest-bearing loan	(659)	(659)
	₱8,483,056	₱8,491,129

Cumulative Translation Adjustments

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Foreign investments:		
MNTH	₱238,399	₱145,797
MNIIL	(184,890)	(184,810)
MNSPL	97,232	(1,119,497)
MIL	(67,781)	999
Cross currency swap:		
MNC	(735,407)	(675,136)
	(₱652,447)	(₱1,832,647)

Cumulative translation adjustments are attributable to equity holders of the Parent Company as at June 30, 2025 and December 31, 2024.

Earnings per Share

The following reflects the income and share data used in the basic and diluted EPS computation:

	Quarters Ended June 30		Six Months Ended June 30	
	2025 (Unaudited)	2024 (Unaudited)	2025 (Unaudited)	2024 (Unaudited)
Net income attributable to equity holders of the parent	₱1,677,094	₱606,232	₱4,411,215	₱4,089,727
Weighted average number of common shares	17,968,611,496	17,968,611,496	17,968,611,496	17,968,611,496
Basic/diluted EPS	₱0.093	₱0.034	₱0.245	₱0.228

17. Net Sales and Cost of Goods Sold

Net Sales by Geography and Operating Segment

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
APAC BFB		
Philippines	₱32,804,488	₱31,152,106
Other countries	2,060,626	2,189,030
	34,865,114	33,341,136
Meat Alternative		
United Kingdom	5,288,060	5,352,923
United States	339,220	345,001
Other countries	964,807	1,096,955
	6,592,087	6,794,879
	₱41,457,201	₱40,136,015

All revenues are recognized at a point in time.

Cost of Goods Sold

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
Direct materials	₱20,885,800	₱19,550,005
Direct labor	1,609,188	1,620,121
Manufacturing overhead (Notes 11, 12 and 19)	4,852,739	4,717,250
Total manufacturing costs	27,347,727	25,887,376
Inventory movements (Note 7):		
Finished goods	317,171	16,686
Work in-process	(3,735)	295,707
	₱27,661,163	₱26,199,769

18. Sales, General and Administrative Expenses

General and Administrative Expenses

	June 30, 2025	June 30, 2024
	(Unaudited)	(Unaudited)
Salaries, wages and employee benefits	₱2,123,235	₱2,242,917
Outside services	623,525	412,607
Depreciation and amortization (Notes 11, 12 and 19)	273,258	249,070
Repairs and maintenance	141,347	99,475
Traveling expenses	91,268	55,430
Insurance	80,120	112,481
Research and development	78,219	134,625
Taxes and licenses	75,808	85,079
Entertainment, amusement and recreation	68,715	51,824
Light, water and telecommunication	54,819	52,575
Warehouse and office supplies	54,784	33,633
Fringe benefit tax	43,982	42,246
Recruitment and training expenses	38,963	11,544
Rent (Note 20)	25,532	32,947
Bank charges	8,607	9,601
Donations	4,331	3,332
Provision for (reversal of) ECL (Note 6)	(1,090)	3,414
Others	91,698	136,987
	₱3,877,121	₱3,769,787

Selling and Distribution Expenses

	June 30, 2025	June 30, 2024
	(Unaudited)	(Unaudited)
Transportation and delivery	₱1,721,879	₱1,640,742
Advertising and promotions	1,597,997	1,469,593
Merchandising expense	375,392	354,386
Dealer support	17,278	55,754
	₱3,712,546	₱3,520,475

Provision for impairment loss - net

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
Property, plant and equipment - net (Note 11)	₱55,275	₱–
Investments in associates and joint venture	–	16,723
	₱55,275	₱16,723

19. Finance Income and Costs, Depreciation and Amortization Expense, Personnel Costs and Miscellaneous Income

Finance Income

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
Cash and cash equivalents	₱172,782	₱267,093
Loans receivable (Notes 9, 20 and 23)	20,363	4,170
Amortization of financing cost (Note 9)	4,001	–
Amortization of discount on security deposit	308	–
	₱197,454	₱271,263

Finance Costs

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
Interest on loans payable (Note 15)	₱95,194	₱155,885
Interest expense on lease liabilities	86,511	88,077
Acceptance and trust receipts payable	35,379	57,260
Amortization of debt issue costs (Note 15)	21,968	24,314
Others	4,004	18,313
	₱243,056	₱343,849

Depreciation and Amortization Expense

	June 30, 2025 (Unaudited)	June 30, 2024 (Unaudited)
Property, plant and equipment (Note 11)	₱1,285,842	₱1,225,839
Intangible assets (Note 12)	84,335	48,752
	₱1,370,177	₱1,274,591

	June 30, 2025	June 30, 2024
	(Unaudited)	(Unaudited)
Cost of goods sold (Note 17)	₱1,096,919	₱1,025,521
Sales, general and administrative expense (Note 18)	273,258	249,070
	₱1,370,177	₱1,274,591

Miscellaneous Income

Miscellaneous income mainly comprises of service fees charged by the Parent Company primarily for reimbursement of share of principals in common expenses, gain/loss on sale of property, plant and equipment, and other miscellaneous items which are recorded under the “Miscellaneous income” account in the consolidated statements of comprehensive income.

20. Related Party Transactions

Parties are considered to be related if one party has the ability, directly, or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control.

The following are the significant transactions with related parties:

Nature	Period ended	Volume of Transactions	Outstanding Balance	Terms	Conditions
<i>Associates and joint ventures</i>					
Monde Land, Inc. (MLI)					
Rent expense	June 30, 2025	₱33,376	(₱9,977)	15 days;	Unsecured
	December 31, 2024	56,084	(5,234)	noninterest-bearing	
	June 30, 2024	33,235	—		
Professional fees	June 30, 2025	39	19		
	December 31, 2024	17	3		
	June 30, 2024	—	—		
Honey Droplet Ltd.					
Advances and interest income	June 30, 2025	—	—	4-6 years;	Unsecured;
	December 31, 2024	—	—	interest-bearing	Gross advances
	June 30, 2024	—	—		amounted to
					₱115.3 million in
					2025 and 2024;
					fully impaired in
					2025 and 2024
Calaca Harvest Terminal Inc. (CHTI)					
Transportation and delivery expense and wheat handling fees	June 30, 2025	150,602	(41,847)	15 days;	Unsecured
	December 31, 2024	316,796	(42,845)	noninterest-bearing	
	June 30, 2024	166,885	(8,632)		
<i>Common shareholders</i>					
PT. Nissin Biscuit Indonesia					
Trade purchases, net	June 30, 2025	28,578	(7,546)	45 days;	Unsecured
	December 31, 2024	47,781	3,883	noninterest-bearing	
	June 30, 2024	19,881	(1,851)		
MNSG Holdings Pte. Ltd.					
Guaranty asset	June 30, 2025	167,784	8,296,598	Refer to Note 10	Unsecured
	December 31, 2024	(2,303,442)	8,128,814		
	June 30, 2024	9,695,422	9,695,422		
Loans receivable - net (Notes 9 and 19)	June 30, 2025	—	89,444	10 years;	Unsecured
	December 31, 2024	—	91,493	noninterest-bearing	
	June 30, 2024	—	176,062		
Trade and other receivables (Note 6)	June 30, 2025		₱19		
	December 31, 2024		3		
	June 30, 2024		—		

(Forward)

Nature	Period ended	Volume of Transactions	Outstanding Balance	Terms	Conditions
Loans receivable - net (Notes 9 and 19)	June 30, 2025		₱89,444		
	December 31, 2024		91,493		
	June 30, 2024		176,062		
Trade and other payables (Note 14)	June 30, 2025		(59,370)		
	December 31, 2024		(44,196)		
	June 30, 2024		(10,483)		

21. Income Tax

Deferred Income Tax

The components of the Group's net deferred tax assets and net deferred tax liabilities are as follow:

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Deferred tax assets - net		
Pension liability	₱313,990	₱308,097
Allowance for impairment loss	251,780	259,153
Accrued expenses	111,238	157,813
Derivative liability	87,219	72,151
Refund liabilities	86,237	94,696
Right-of-use assets and lease liabilities	75,638	68,849
Unrealized profits from intercompany sales	33,681	36,042
Excess of the tax base over the carrying amounts of non-monetary assets	16,059	14,545
NOLCO	11,878	1,657
Unrealized foreign exchange gain	(9,592)	(5,859)
Unamortized past service cost	6,441	7,133
Allowance for inventory obsolescence	3,341	1,491
Allowance for ECL	994	1,582
Others	(17,512)	(9,848)
	971,392	1,007,502
Deferred tax liabilities - net		
Brand	(1,203,218)	(1,185,900)
NOLCO	994,530	913,198
Interest expense	473,496	444,738
Property, plant and equipment	(306,745)	(211,609)
Interest income	(521)	(1,064)
Unrealized foreign exchange gain	—	(2,257)
Others	11,725	10,627
	(30,733)	(32,267)
	₱940,659	₱975,235

22. Financial Risk Management Objectives and Policies

The Group's principal financial instruments comprise cash and cash equivalents, trade and other receivables, current financial assets, loans receivable, noncurrent receivables, guaranty asset, and advances to employees. The main purpose of these financial instruments is to fund the Group's operations. The Group has various other financial instruments such as accounts payable and other current liabilities, acceptance and trust receipts payable, loans payable and lease liabilities, which arise directly from its operations.

Set out below, is an overview of financial assets and financial liabilities held by the Group as at June 30, 2025 and December 31, 2024:

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Financial Assets		
Cash and cash equivalents	₱11,053,297	₱14,158,203
Trade and other receivables	7,153,516	7,709,717
Current financial assets	2,390,592	1,812,489
Noncurrent receivables	1,405,318	1,320,296
Guaranty asset	8,296,598	8,128,814
Financial assets at FVOCI	658,120	813,971
Advances to employees*	136,375	99,924
Refundable security deposit****	–	188,682
	31,093,816	34,232,096
Financial Liabilities		
Accounts payable and other current liabilities**	₱10,152,450	₱11,523,485
Loans payable***	1,184,227	3,218,303
Acceptance and trust receipts payable	748,142	1,608,501
Lease liabilities***	8,493,598	8,580,296
	20,578,417	24,930,585
	₱10,515,399	₱9,301,511

*Recorded under "other noncurrent assets"

** Excluding statutory payables.

***Includes future interest.

****Including the discount recognized as ROU.

The main risks arising from the Group's financial instruments are interest rate risk, foreign currency risk, credit risk and liquidity risk. The BOD reviews and agrees the policies for managing each of these risks and they are summarized below:

Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises of interest rate risk and foreign currency risk. Financial instruments affected by market risk include cash and cash equivalents, trade and other receivables, accounts payable and other current liabilities, and loans payable.

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates. The Group manages its interest rate risk by having a balanced portfolio of fixed and variable rate loans and borrowings.

Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

Credit Risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments. Since the Group trades only with recognized third parties, there is no requirement for collateral.

The aging analysis of trade and other receivables as at June 30, 2025 and December 31, 2024 follows:

June 30, 2025							
	Days Past Due					ECL	Total
	Current	1–30 Days	31–60 Days	61–90 Days	More than 90 Days		
Trade and other receivables:							
Non-related parties	₱6,567,457	₱431,646	₱65,710	₱3,024	₱13,342	₱4,355	₱7,085,534
Related parties	19	–	–	–	–	–	19
Other receivables	72,318	–	–	–	–	–	72,318
Noncurrent receivables	1,405,318	–	–	–	–	115,266	1,520,584
	₱8,045,112	₱431,646	₱65,710	₱3,024	₱13,342	₱119,621	₱8,678,455

December 31, 2024							
	Days Past Due					ECL	Total
	Current	1–30 Days	31–60 Days	61–90 Days	More than 90 Days		
Trade receivables:							
Non-related parties	₱6,569,560	₱959,055	₱55,830	₱43,200	₱13,817	₱6,854	₱7,648,316
Related parties	3	–	–	–	–	–	3
Other receivables	68,252	–	–	–	–	–	68,252
Noncurrent receivables	1,320,296	–	–	–	–	115,266	1,435,562
	₱7,958,111	₱959,055	₱55,830	₱43,200	₱13,817	₱122,120	₱9,152,133

Liquidity Risk

Liquidity risk is the risk the Group will be unable to meet its payment obligations when they fall due. The Group monitors and maintains a level of cash deemed adequate by management to finance the Group's operations, ensure continuity of funding and to mitigate the effects of fluctuations in cash flows.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans and lease contracts. The Group's policy is that not more than 50% of long-term debt should mature in the next 12-month period. Approximately 2% and 8% of the Group's long-term debt will mature in less than one year at June 30, 2025 and December 31, 2024, respectively, based on the carrying value of debt reflected in the financial statements. The Group assessed the concentration risk with respect to refinancing its debt and concluded it to be low. The Group has access to a sufficient variety of source of funding and debt maturing within 12 months can be rolled over with existing lenders.

Excessive concentration risk. Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by change in economic, political and other conditions. Concentrations

indicate the relative sensitivity of the Group's performance to developments affecting a particular industry.

In order to avoid excessive concentrations of risk, the Group's policies and procedures include specific guidelines to focus on the maintenance of a diversified portfolio of distributors and distribution channels. Identified concentration of credit risks are controlled and managed accordingly.

Derivative Financial Instruments

The Group engages in derivative transactions such as dual currency investment, structured note, binary note, guaranty asset, cross currency swaps (CCS) and USD / PHP Call Option with European Knock Out (EKO) to manage its foreign currency, financial, and interest rate risks. Derivative financial instruments are initially recognized at fair value on the date the derivative contract is entered into and are subsequently remeasured at fair value. Changes in the fair value of derivatives that are not designated as accounting hedges (dual currency investment, structured note, and binary note) are recognized in the consolidated statements of income.

Dual Currency Investment

The Group invested in a non-principal protected investment product with a potential higher return than conventional deposits. The investment amount will be received in either the alternative or investment currency together with interest amount in the investment currency depending on the applicable scenario at maturity date.

Pertinent details of the dual currency investment are as follows:

Notional amount	Effective Date	Maturity Date	Investment Currency	Alternative Currency	Conversion Rate	Interest Rate of Investment Currency
\$8,642	05/02/25	07/01/25	USD	GBP	1.215	9.86% p.a.
\$5,112	05/02/25	07/01/25	USD	GBP	1.185	9.30% p.a.
\$6,469	06/30/25	07/30/25	USD	GBP	1.265	6.03% p.a.

Structured Note

The Group invested in a structured note that offers enhanced return when the underlying asset trades at or above its initial price at maturity while offering a pre-determined minimum level of capital return at maturity.

Pertinent details of the structured note are as follows:

Issue Size	Effective Date	Maturity Date	Final Redemption	Coupon
			Principal Amount + Principal Amount x Participation Ratio x Max (0, Indexf/Index0 – 100%)	
\$5,000	02/28/25	09/02/25		1.00% p.a.

Binary Note

The Group invested in a binary note with the view of getting an interest amount linked to USD PHP fixing rate and 100% of the principal at maturity. Binary note is nil as at June 30, 2025.

The Group recognized fair value gain of ₱66.0 million and ₱23.0 million from fair value changes of dual currency investment, structured note, and binary note for the six months ended June 30, 2025 and 2024, respectively, under the “Fair value gain on financial instruments at fair value through profit or loss (FVTPL)” account in the consolidated statement of comprehensive income.

Guaranty Asset

Details of the guaranty asset can be referred in Note 10.

CCS contract

On January 31, 2023, the Parent Company entered into a non-deliverable CCS Agreement with a notional amount of ₱1,891.4 million (THB 1,151.5 million). Under the CCS agreement, the Company will receive Philippine Peso interest at 11.50% p.a. and will pay fixed Thailand Baht interest at 9% p.a. The Company will also pay the notional Thailand Baht amount in exchange for the Philippines Peso amount at the end of the swap period. The CCS, which will be designated as a hedge of a portion of the net investment in MIL and MNTH, is used to hedge the Parent Company’s exposure to the THB foreign exchange risk on its investment in MIL and MNTH. For the six months ended June 30, 2025, the Group recognized ₱60.3 million cumulative translation gain adjustment under other comprehensive income. The Group recognized ₱19.2 million and ₱39.9 million derivative gain from swaps entered and settled during the same period for the six months ended June 30, 2025 and 2024, respectively.

Capital Management

For the purpose of the Group’s capital management, capital includes issued capital and all other equity reserves. The primary objective of the Group’s capital management is to maximize the shareholder value. The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the periods ended June 30, 2025 and December 31, 2024.

The Group monitors capital on the basis of the debt-to-equity ratio and makes adjustments to it in light of changes in economic conditions and its financial position. This ratio is calculated as total debt divided by total equity. Debt comprises all liabilities of the Group. Equity comprises all components of equity attributable to equity holders of the Parent Company.

The Group's debt-to-equity ratios are as follows:

	June 30, 2025	December 31, 2024
	(Unaudited)	(Audited)
Total debt	₱18,139,863	₱22,547,846
Total equity attributable to equity holders of the Parent Company	58,098,713	55,366,514
Debt-to-Equity Ratio	0.31:1.00	0.41:1.00

Fair Value of Financial Instruments

Cash and Cash Equivalents, Trade and Other Receivables, Accounts Payable and Other Current Liabilities, and Acceptance and Trust Receipts Payable. The carrying value of these financial assets and liabilities approximate their fair values as at June 30, 2025 and December 31, 2024 due to the short-term nature of these financial instruments.

Noncurrent Receivables, Advances to Employees, and Loans Payable. As at June 30, 2025 and December 31, 2024, the fair value of noncurrent receivables, and loans payable with variable interest rates approximates the carrying amount due to frequent repricing of interest. Fair value of loans with fixed interest rate are determined using the discounted cash flow method using discount rate that reflects the issuer's borrowing rate as at the end of the reporting period. The fair value of noninterest-bearing noncurrent receivables is determined by discounting future cash flows at an appropriate discount rate, reflecting the time value of money and credit risk.

Financial assets at FVTPL. The financial assets at FVTPL account consist of unit investment trust funds (UITFs) and derivatives, including separated embedded derivatives, unless designated as effective hedging instruments. As at June 30, 2025 and December 31, 2024, the fair values of these financial assets are based on their published net asset value per share. These are presented under "current financial assets" in the consolidated statement of financial position.

Financial Assets at FVOCI. The fair value of financial asset at FVOCI from Wide Faith Investment Holdings Ltd. is derived from the cash flow projection of the investee (income approach), which is nil as at June 30, 2025 and December 31, 2024.

The fair value of FCG is based on quoted prices. The fair value of Terramino Inc. approximates its last transaction price.

Interest rate swap. The fair value of the derivative financial instrument is measured using discounted cash flows. The future cash flows are estimated based on observable forward interest rates and discounted at a rate that reflects the credit risk of the Group and counterparties.

Guaranty asset. The fair value of guaranty asset is determined using Monte Carlo Simulation. The inputs to the model are derived from observable market data where possible, but where this is not feasible, a degree of judgement is required in establishing fair values.

23. Commitments

SSCC

On July 25, 2014 and August 4, 2014, the Parent Company and SSCC entered into a Distribution, and Marketing and Sales Development Agreement wherein SSCC appoints the Parent Company as its exclusive distributor of all its products in the Philippines for a period of 20 years (until July 25, 2034). Under the Agreement, the Parent Company shall pay SSCC a non-reimbursable and non-recoupable sum of ₱727.6 million payable in 5 equal annual installments starting on August 4, 2014 (see Note 12). The amount is recognized as Distribution Rights and subject to amortization for a period of 20 years up to 2034. The related payable was fully settled in 2018.

On August 4, 2014, the Parent Company and SSCC entered into a Loan Agreement wherein the Parent Company agreed to extend a loan to SSCC in the principal amount of ₱500.0 million with interest rate of 2% per annum. The loan is for a period of 10 years which was fully settled on August 4, 2024.

Loan Agreement between KBT and SSCC

On August 1, 2024, KBT and SSCC entered into a Loan Agreement wherein KBT agreed to extend an interest-bearing loan to SSCC in the principal amount of ₱600.0 million. The loan is for a period of 10 years and will mature on August 1, 2034. The ₱600.0 million loan is still outstanding as at June 30, 2025 and December 31, 2024.

MIL

On June 27, 2025, the BOD approved the Parent Company's authority to guarantee the ₱366.2 million (USD6.5 million) loan of wholly owned subsidiary MIL that MIL will borrow from Citigroup Inc., its subsidiaries or affiliates and/or Citibank N.A. or any of its branches.

24. Supplemental Disclosure to Cash Flow Statements

The Group's material noncash activities are as follows:

	June 30, 2025	June 30, 2024
	(Unaudited)	(Unaudited)
Cumulative translation adjustments	(₱1,180,200)	(₱1,169,574)
Additions to ROU assets (Note 11)	3,412	792,666

25. Subsequent Events

CCS contract

On July 24, 2025, the Parent Company entered into another non-deliverable CCS Agreement with a notional amount of ₱765.8 million (THB 435.0 million). Under the new CCS agreement, the Company will receive Philippine Peso interest at 12.70% p.a. and will pay fixed Thailand Baht interest at 9% p.a. The Company will also pay the notional Thailand

Baht amount in exchange for the Philippines Peso amount at the end of the swap period. The CCS, which will be designated as a hedge of a portion of the net investment in MIL and MNTH, is used to hedge the Parent Company's exposure to the THB foreign exchange risk on its investment in MIL and MNTH.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS AS OF JUNE 30, 2025

SIGNIFICANT FACTORS AFFECTING THE GROUP'S RESULTS OF OPERATIONS

The Group's business results of operations are affected by a variety of factors. Set out below is a discussion of the most significant factors that have impacted its results in the past, and which will continue to influence its results in the foreseeable future. Factors other than those discussed below could also significantly impact on the Group's business results of operations and financial condition in the future.

Demand and Pricing

The Group's results of operations are affected by consumers' demand for its products, and pricing, in turn, influences demand. When determining its selling prices, the Group considers various factors, including, among others, prices of raw materials and packaging materials, taxes, fuel prices and other costs of doing business, distribution channels, and general economic conditions. The Group believes that instant noodles, bread, biscuits, and culinary aids are considered consumer staples. These products can be sensitive to movements in disposable incomes, changes in product prices, and competitive pressures. Volume, as well as value proved generally resilient to the adverse effects of inflation.

Demand for fast-moving consumer goods is price elastic in general, particularly for consumers in the lower socio-economic classes where disposable income is limited. When prices increase or during periods of relatively weak economic growth where disposable income falls, consumers, particularly those in the lower socio-economic classes, tend to switch to comparable lower-priced staple products and cut back on their consumption of discretionary products.

In addition, demand for fast-moving consumer goods is also influenced by the relative price relationships between such goods, consumer products, and other products and services in general. Consumers are prone to adjust their buying choices according to shifts in the perceived value-for-money propositions of the products. The Group intends to continue to innovate its products to enhance their perceived product value.

Changes in Consumer Tastes and Preferences

The Group's future growth will depend on its ability to maintain the competitive positions of its product portfolios and brands by proactively anticipating and responding to constant changes in consumer tastes and preferences. A key element in maintaining the market share for the Group's product portfolios is the ability to continuously and successfully introduce new products and product extensions to capture prevailing consumer preferences.

Consumer preferences may change due to various factors, including changes in economic conditions and income levels, shifts in demographic and social trends, changes in lifestyle and leisure activity patterns, changes in regulations, and actions of competitors, any of which may affect consumers' perception of and willingness to purchase the Group's products. This may then significantly impact Group results of operations.

The Group regularly keeps abreast of the evolving consumer preferences and believes that its current broad array of products can address the shifts in trends.

Effectiveness of Sales and Marketing Activities

The effectiveness of the Group's sales and marketing activities is critical to its market share expansion and revenue growth. The Group communicates with consumers through various channels and touchpoints.

Advertising affects consumer awareness of the Group's products and brands, which, in turn, affects purchase decisions and, consequently, sales volumes. The Group believes that product differentiation and brand loyalty are achieved through its marketing and image-building efforts; and consumer brand preferences are the cumulative result of exposure to the brands over an extended period. However, the effects of these sales and

marketing activities may be delayed, resulting in delayed revenue growth which may not be fully reflected during the period in which the sales and marketing activities took place.

Prices of Raw Materials and Packaging Materials

Direct materials are major components of the Group's cost of goods sold. Direct materials comprise raw materials and packaging materials. Raw materials primarily consist of wheat/flour, palm oil, sugar, and coconut oil. The Group sources raw materials and all packaging materials globally.

Raw materials are subject to significant price volatility caused by various factors, including changes in global supply and demand, extreme weather conditions, size of harvests, transportation and storage costs, governmental agricultural policies, and currency exchange rate fluctuations. In addition, the Group's ability to obtain raw materials and packaging materials is affected by factors beyond its control, including armed conflict, natural disasters, governmental laws and policies, interruptions in production by suppliers, and the availability of transportation.

The Group's profitability is dependent on, among other factors, its ability to anticipate and react to fluctuations in the price of commodities, raw materials, and packaging materials. An increase in prices for or shortage of the Group's raw materials and packaging materials generally leads to an increase in production costs or interruption in the Group's production schedules, each of which could adversely affect its operating margins. Production delays could lead to reduced sales volumes and profitability as well as the loss of market share. Conversely, favorable movements of raw material costs and other items might improve the Group's margins and results of operations. The Group has been able to mitigate price fluctuations in raw materials to some extent through a combination of (i) operational synergy, (ii) the use of short-term and long-term contracts with suppliers to lock in pricing, and (iii) diversification of sources of supply.

Given that a significant portion of the Group's flour requirement is produced in-house at its Santa Rosa and Calaca facilities, the Group enjoys consistent supply, quality, and cost savings for flour from this operational synergy. This is further enhanced by the Group's affiliate-owned grain import terminal which allows independent procurement of wheat at scale. Operational synergy is also achieved in the supply of seasoning for instant noodles production, as the Group is operating a seasoning plant in Thailand to produce seasoning for its noodle plants in the Philippines.

Increases in costs of raw materials and packaging materials can typically be passed on to consumers. However, this may affect consumer demand as the Group's consumers are generally price sensitive. In some cases, these increases are not immediately passed on, if at all, to consumers to maintain or grow sales volumes and to protect the Group's market share. As a result, any material increase in the market price of raw materials could adversely affect the Group's operating margins, which may affect its financial position and operating performance.

Product Mix

The Group has a diversified product mix which primarily includes instant noodles, biscuits, and other fast-moving consumer products. The Group adopts a multi-brand approach, pursuant to which there are one or more brands or product lines under each product category. Under each brand, the Group offers products with different flavors, different package sizes and/or different types of products to provide varieties. For example, in the instant noodles product group, there are three product lines under the *Lucky Me!* brand: (i) wet pouch; (ii) dry pouch; and (iii) cups. Each *Lucky Me!* product line offers a wide array of flavors. The ability of the Group to continuously develop new products and launch product extensions to capture various consumer preferences enables the Group to successfully make available to its consumers a diverse and innovative product mix.

Typically, different products vary in product pricing, revenue growth rate, and gross profit margin. Each of the Group's brands has its own unique positioning with different marketing strategies and promotional costs. As a result, the Group's revenue and profitability are largely affected by its product mix.

Competition

The Group's products face competition from other domestic producers as well as from imported products and foreign brands. Competitive factors facing the Group's products include price, product quality, and availability, production efficiency, brand awareness and loyalty, distribution coverage, security of raw material supply, customer service, and the ability to respond effectively to changes in the regulatory environment as well as to shifting consumer tastes and preferences.

The Group's main competitors for the instant noodle segment are domestic producers which compete on pricing and imported/multinational brands that offer different flavors and taste experiences. The biscuits and other fast-moving consumer product groups face competition from local and imported/multinational competitors. Similar to the instant noodle segment, these players compete on pricing, taste, and innovation. Changes in the competitive landscape, including new entrants into the market, consolidation of existing competitors, and other factors, could have a material impact on the Group's financials and results of operations.

Economic, Social and Political Conditions in the Philippines and Other Countries

The majority of the Group's assets and revenues are in or derived from its operations in the Philippines. Therefore, the Group's business, financial condition, results of operations, and prospects are substantially influenced by the economic, social, and political conditions in the Philippines, while the Group is also significantly exposed to global commodity markets, mainly those for agricultural goods and energy.

Sales of most of the products of the Group's Business have been influenced and will continue to be influenced, to some degree, by the general state of the Philippine economy as well as the stability of social and political conditions in the country. The agricultural policy stance may significantly influence the business's results especially around raw materials such as sugar and its related importation quotas, and consumer shifting between food groups as they are avoiding products impacted by high inflation. Rice is a significant percentage of a typical Filipino household spending and its price movements can drive consumer decisions of having to make choices between food groups. While sales of a portion of the Group's products can be sensitive to changes in income and social conditions. The Group offers products that are considered as staple items or components to staple items which are less sensitive to income changes and adverse economic, social, and political conditions. These include instant noodles, bread, and culinary aids.

The Group also conducts its business in Thailand, including export operations to select territories. As such, economic, social, and political conditions in Thailand may also affect the Group's business, financial condition, results of operations, and prospects. In addition, the economic environment globally may influence the planned expansion strategy of the export business as distributors act more cautiously on new product launches, advertising, and promotional spend. A successful execution of the expansion of the overseas business may provide a possible upside to the Group. Global containers shipping in prices, as well as availability may influence the growth and profitability of the export business in the upcoming periods.

A significant portion of the Group's assets and revenue from its Meat Alternative Business are also located in or derived from its operations in the United Kingdom (UK). Therefore, economic, social, and political conditions in the UK may also affect the Group's business, financial condition, results of operations, and prospects.

Seasonality

In the consumer goods industry, results of operations generally follow the seasonality of consumer buying patterns, and the Group's sales are affected accordingly. In the Philippines, most food and beverage products, including those of the Group, experience increased sales from October to December related to the Christmas and New Year's season. Consequently, the fourth quarter has historically been the APAC BFB Group's strongest quarter by volume for culinary aids and some of its biscuit products, including *M.Y. San Grahams*. Seasonality during certain events also affects the Group's sales. In addition, seasonality varies across product types. Some of the Groups's products have distinct seasonality. For instance, *Lucky Me!* Wet pouch instant noodles see an increase in sales in the colder months due to consumers' preference for warm food. Instant noodles and crackers are mainstays of relief goods being distributed in times of calamities. A number of biscuit products experience higher sales during the school year as the APAC BFB's products are generally purchased for lunch boxes, between

meals, on-the-go consumption, and consumption at home. As a result, seasonality could affect the Group's financial condition and results of operations from one quarter to another. To counter the seasonality of some of its products, the Group developed marketing and advertising initiatives that encourage the sustained consumption of its products throughout the year. The Group believes that the diversity of its product mix reduces the specific seasonality impact of certain products in its portfolio.

Innovation

In addition to its ability to introduce new product innovations and renovations, delivering on the Group's aspiration will also depend on the Group's ability to continuously drive loss-eliminating process innovations and work system innovation. Continuous improvement in process innovation and work system redesign will impact multiple fronts such as superior quality and consumer experience, fresher products to market, higher productivity, and improved sustainability via less wastage/use of resources and better process reliability.

Capacity and Utilization of the Group's Facilities

The ability of the Group to meet the demand for its products depends on its ability to build, maintain, and expand its production capacity. Capacity expansion affects the ability of the Group to introduce new products or new uses for its existing products, which, in turn, impacts the ability of the Group to be agile and responsive to rapidly changing customer needs and expectations.

Capacity improvement and expansion require significant capital investment. An investment in new technology or an enhancement of existing technology to increase capacity and utilization may result in operational challenges. Furthermore, the effects of these investments may be delayed, resulting in delayed revenue growth.

Financial Highlights and Key Indicators

The summary financial information presented as at December 31, 2024, and as at June 30, 2025 and for the six months ended June 30, 2024, June 30, 2025, was derived from the Group's unaudited consolidated financial statements, prepared in accordance with Philippine Accounting Standards 34, *Interim Financial Reporting*. The information below is not necessarily indicative of the results of future operations.

In this report and as defined below, Core EBITDA, Core EBITDA Margin, Core Income (After Tax) at Ownership, and Core Income (After Tax) at Ownership Margin are internal management performance measures and are not measures of performance under Philippines Financial Reporting Standards (PFRS) Accounting Standards. Thus, users of this report should not consider foregoing financial non-PFRS measures in isolation or as an alternative to Net Income as an indicator of the Group's operating performance or to cash flow from operating, investing, and financing activities.

Core EBITDA is measured as net income excluding depreciation and amortization of property and equipment, asset impairments, financing income and expense, net foreign exchange gains (losses), net gains (losses) on derivative financial instruments, fair value gain (losses) on guaranty asset, and other non-recurring income (expenses) NRI(E). H1 2024 NRE was nil. Meanwhile, H1 2025 NRE refers to restructuring costs and expenses related to supply chain transformation in Meat Alternative Business. Core EBITDA margin pertains to Core EBITDA divided by segment net sales.

Core Income Before Tax is measured as net income excluding the effects of asset impairment, interest expenses related to lease liabilities, interest income, equity in net earnings (losses) of associates and joint ventures, net foreign exchange gains (losses) except those related to U.S dollar balances that the company hedge against foreign exchange risks, net gains (losses) on derivative financial instruments, fair value gains (losses) on guaranty asset and FVTL, and NRE as discussed above. Core Income Before Tax Margin pertains to Core Income Before Tax divided by segment net sales.

Core Income (After Tax) pertains to Core Income Before Tax less income tax based on recurring income tax rate per entity. Core Income (After Tax) Margin pertains to Core Income (after tax) divided by segment net sales.

Core Income (After Tax) at Ownership pertains to Core Income (After Tax) less core income attributable to non-controlling interest (NCI).

The following discussion should be read in conjunction with the attached Unaudited Consolidated Financial Statements and related notes of Monde Nissin Corporation (“MNC” or “the Parent Company” and its subsidiaries (collectively, referred to as the “Group”) as at and for the six months ended June 30, 2025.

I. SUMMARY CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Unaudited in millions, except percentages					
	Reported					
	H1 2025	% to Net Sales (in %)	H1 2024	% to Net Sales (in %)	Inc (Dec)	Inc (Dec) (in %)
Net Sales	41,457	100.0	40,136	100.0	1,321	3.3
Less: Cost of Goods Sold	27,661	66.7	26,200	65.3	1,461	5.6
Gross Profit	13,796	33.3	13,936	34.7	(140)	(1.0)
Less: Sales, General & Administrative (SGA) ¹	7,444	18.0	7,252	18.1	192	2.6
Other Income/(Expense)						
Interest expense ²	(155)	(0.4)	(266)	(0.7)	111	(41.7)
Foreign exchange gain/ (loss) – net ³	(96)	(0.2)	232	0.6	(328)	n/m
Miscellaneous income	49	0.1	–	–	49	–
	(202)	(0.5)	(34)	(0.1)	(168)	494.1
Core Income Before Tax	6,150	14.8	6,650	16.6	(500)	(7.5)
Less: Provision for income tax ⁴	1,413	3.4	1,539	3.8	(126)	(8.2)
Core Income (After Tax)	4,737	11.4	5,111	12.7	(374)	(7.3)
Less: Non-Controlling Interest	3	–	7	–	(4)	(57.1)
Core Income (After Tax) at Ownership	4,734	11.4	5,104	12.7	(370)	(7.2)

	Unaudited in millions, except percentages					
	H1 2025	% to Net Sales (in %)	H1 2024	% to Net Sales (in %)	Inc (Dec) Amt	Inc (Dec) (in %)
Core Income (After Tax)	4,737	11.4	5,111	12.7	(374)	7.3
Other income (expenses)						
Fair Value gain on:						
Guaranty asset	(305)	(0.7)	(1,218)	(3.0)	913	(75.0)
Financial assets (FVTPL)	78	0.2	38	0.1	40	105.3
Foreign exchange gain (loss) ⁵	(50)	(0.1)	(26)	(0.1)	(24)	92.3
Miscellaneous income	169	0.4	139	0.3	30	21.6
Impairment loss	(55)	(0.1)	(17)	(0.0)	(38)	223.5
	(163)	(0.4)	(1,084)	(2.7)	921	(85.0)
Finance income (expense)						
Less: Interest expense ⁶	(88)	(0.2)	(77)	(0.2)	(11)	14.3
Interest income	197	0.5	272	0.7	(75)	(27.6)
Derivative gain - net	19	–	40	0.1	(21)	(52.5)
	128	0.3	235	0.6	(107)	(45.5)
Other non-recurring expenses						
Restructuring costs in Meat Alternative	(146)	(0.4)	(38)	(0.1)	(108)	284.2
Income Tax Provision⁷	(141)	(0.3)	(127)	(0.3)	(14)	11.0
Reported net income (after tax)	4,415	10.6	4,097	10.2	318	7.8

Note: See “Other Financial Data – reconciliation of PFRS and non-PFRS measures.”

n/m = not meaningful %

¹2025 excludes restructuring in MNUK and expenses related to supply chain transformation.

²Recurring interest expense on Loans and Trust Receipts Payable

³Foreign exchange gain on U.S dollars balances for the Group’s natural hedge.

⁴Based on recurring income tax rate per entity.

⁵Excluding foreign exchange gain on USD reserves for the Group’s natural hedge (included in the Core Income calculation above)

⁶Excluding recurring interest expense on Loans and Trust Receipts Payable (included in the Core Income calculation above)

⁷Income tax effect of Other Income (expenses) and non-recurring finance income (expenses); To simplify, this is the difference between Total provision for income tax as reported and provision for income tax related to Core Income

II – OPERATING SEGMENTS OF THE GROUP

As mentioned in the business overview section, the Group's two core businesses are the APAC BFB Business and the Meat Alternative Business.

Segment performance is evaluated based on: Core Earnings before interest, taxes, and depreciation and amortization, or Core EBITDA; Core EBITDA margin; Core Income (after tax) at Ownership and Core Income Tax at Ownership Margin.

The table below presents certain financial information relating to the Group's results of operation by segment for the periods indicated.

	H1 2025	% to Total (in %)	Reported H1 2024	% to Total (in %)	Inc/(Dec)	Inc/(Dec) (in %)
Net Sales						
APAC BFB	34,865	84.1	33,341	83.1	1,524	4.6
Meat Alternative	6,592	15.9	6,795	16.9	(203)	(3.0)
Total	41,457	100.0	40,136	100.0	1,321	3.3
Gross Profit		% of Segment Net Sales (in %)		% of Segment Net Sales (in %)		
APAC BFB	12,209	35.0	12,473	37.4	(264)	(2.1)
Meat Alternative	1,587	24.1	1,463	21.5	124	8.5
Total	13,796	33.3	13,936	34.7	(140)	(1.0)
Core Income (after tax) at Ownership						
APAC BFB	4,949	14.2	5,590	16.8	(641)	(11.5)
Meat Alternative	(215)	(3.3)	(486)	(7.2)	271	(55.8)
Total	4,734	11.4	5,104	12.7	(370)	(7.2)
Core EBITDA ⁽¹⁾						
APAC BFB	7,853	22.5	8,279	24.8	(426)	(5.1)
Meat Alternative	165	2.5	(144)	(2.1)	309	n/m
Total	8,018	19.3	8,135	20.3	(117)	(1.4)

Note: (1) See "Other Financial Data - Core EBITDA Reconciliation"

RESULTS OF OPERATIONS

For the six months ended June 30, 2025, compared to the six months ended June 30, 2024.

Net Sales

Consolidated net sales growth improved by 3.3% to ₱41,457 million in H1 2025 driven by continues growth in APAC BFB domestic largely from volume increase in biscuits and culinary partly offset by Meat Alternative, as category softness continues.

APAC BFB

APAC BFB net sales growth increased by 4.6% to ₱34,865 million in H1 2025 due to improving growth in the domestic business. The domestic business (which accounts for 94% of total APAC BFB business) growth improved by 5.3% in H1 2025 driven by double-digit growth in biscuits and other categories. Meanwhile, noodles sales remained soft but the decline tapered in H1 2025 due to recovery in Q2 2025. Q2 2025 sales modestly grew vs. prior year and prior quarter despite fewer selling days due to Holy Week. Moreover, according to Nielsen, *Lucky Me!* continues to gain market share, from 67.4% in Q2 2024 to 69.0% in Q2 2025, with broadbased gains accross segments. Kasalo pack, our bigger pack segment, continues to propel market share gains on the dry pack

segment. Meanwhile, international business (which accounts for 6% of total APAC BFB business) decreased by 5.9%.

Meat Alternative

Net sales in the Meat Alternative segment decline tapered to 3.0% on a reported basis and decreased by 5.3% on a constant currency basis to ₱6,592 million in H1 2025. Q2 2025 sales decline was tapered to 2.2% on reported basis and 4.8% at constant currency basis on volumes that were down by 8.5%. Volume decline was mitigated by 42% growth in UK Quorn snacking business.

Core Cost of Goods Sold (COGS)

Cost of goods sold increased by 5.6% to ₱27,661 million in H1 2025 due to sales volume growth and significant increases in the edible oils prices affecting the APAC BFB segment. This was partly offset by lower input costs in the Meat Alternative segment.

APAC BFB

The cost of goods sold in the APAC BFB segment increased by 8.6% to ₱22,556 million in H1 2025, primarily due higher sales volume and inflationary headwinds in edible oil ingredients which partly softened by lower price of flour.

Meat Alternative

The cost of goods sold in the Meat Alternative segment decreased by 6.1% to ₱5,005 million in H1 2025 due to lower input costs, lower inventory carrying costs, and overall benefits from supply chain transformation program.

Gross Profit

Gross profit decreased by 1.0% to ₱13,796 million in H1 2025 due to decline in the APAC BFB segment partly mitigated by continues recovery in the Meat Alternative segment.

APAC BFB

Gross profit for the APAC BFB segment slightly declined year-on year by 2.1% to ₱12,209 million. Gross margin decline by 2.4% to 35.0% in H1 2025 due to increases in the palm oil and surges in the coconut oil prices.

Meat Alternative

Gross profit for the Meat Alternative segment increased by 8.5% to ₱1,587 million of H1 2025. Gross margin improved by 2.5% to 24.2% in H1 2025 driven by lower input costs, reduced inventory carrying cost and targeting selling price increase. The impact on gross margin was partially offset by lower production volumes.

Core Sales, General and Administrative Expenses (SG&A) (excluding non-recurring expenses)

Sales, general and administrative expenses increased by 2.6% to ₱7,444 million in H1 2025. The increase in APAC BFB was offset by significant decline in the Meat Alternative despite reinvestment for growth in Q2. H1 2025 SG&A as percentage of sales slightly decreased by 0.1%, to 18.0%.

APAC BFB

SG&A in the APAC BFB segment increased by 6.7%, to ₱5,693 million in H1 2025. The increase was due to higher sales volume, salary inflation and logistics costs. SG&A as percentage of sales in H1 2025 reached 16.3%, which was 0.3% higher vs H1 2024 but still below FY2024 level of 17.3%.

Meat Alternative

Core SG&A in the Meat Alternative segment decreased by 8.5% to ₱1,751 million in H1 2025. This is mainly due to broader transformation benefits despite Q2 2025 snacking campaign to support volume growth in UK.

Core Income (After Tax)

Core income (after tax) decreased by 7.2% to ₱4,734 million in H1 2025 primarily due to lower core income from APAC BFB due to edible oil prices and foreign exchange headwinds. In H1 2025 APAC BFB recognized foreign exchange loss of ₱96 million loss compared to H1 2024 foreign exchange gain of ₱232 million in its USD reserves.

Fair value loss on guaranty asset

The Group recorded a non-cash loss on fair value of guaranty asset amounting to ₱305 million in H1 2025 compared to a higher fair value non-cash loss of ₱1,218 million in H1 2024, in relation to the MNSPL's guaranty asset under the Top-Up Deed as at December 31, 2023.

Other Non-Recurring Expenses (NRE)

Other non-recurring expenses were ₱38 million in H1 2024 and ₱146 million in H1 2025. H1 2024 pertains to restructuring expenses and H1 2025 pertains to additional restructuring and expenses related to supply chain transformation as part of overall transformation program in Meat Alternative segment.

Income Before Income Tax

In H1 2025, income before income tax increased by 3.6% to ₱5,969 million in H1 2025, as discussed in the foregoing.

Total Income Tax Expense

Total income tax expense decreased by 6.7% to ₱1,554 million due lower operating income in APAC BFB.

Reported Net Loss (after tax)

As a result of the foregoing, the Group reported 7.8% increase in net income to ₱4,415 million in H1 2025.

STATEMENT OF FINANCIAL POSITION

Financial condition as at June 30, 2025, compared to December 31, 2024

Current Assets

The Group's current assets decreased by 7.8%, from ₱33,927 million as at December 31, 2024, to ₱31,267 million as at June 30, 2025, primarily due to payment of dividends, partial settlement of MNUK's bank loans, and APAC BFB's trust receipts, and reinvestment to capital expenditures (CapEx) and current financial assets.

	June 30, 2025		December 31, 2024		Increase (Decrease)	
	Unaudited	% to Total (In %)	Audited	% to Total (In %)	Amount	In %
in ₱ millions, except percentages						
Cash and cash equivalents	11,053	35	14,158	42	(3,105)	(21.9)
Trade and other receivables	7,154	23	7,710	23	(556)	(7.2)
Inventories	8,762	28	8,921	26	(159)	(1.8)
Prepayments and other current assets	1,907	6	1,326	4	581	43.8
Current financial assets	2,391	8	1,812	5	579	32.0
Total	31,267	100	33,927	100	(2,660)	(7.8)

Cash and cash equivalents decreased by 21.9% as at June 30, 2025, to ₱11,053 million mainly due to payment of dividends (₱2,695 million), partial settlement of MNUK's loans (₱2,454 million). Cash derived from operation support settlement of APAC BFB's trust receipts (₱854 million) to save on interest and part of foreign exchange management program and reinvestment on CapEx (₱1,281 million) and current financial assets (₱513 million – net of disposal).

Trade and other receivable decreased by 7.2% as at June 30, 2025 to ₱7,154 due to collection from higher sales from Q4 2024.

Prepayments and other current assets increased by 43.8%, from ₱1,326 million as at December 31, 2024, to ₱1,907 million as at June 30, 2025, mainly due to timing related to prepayments for insurance, business permit and real property taxes and increase in input VAT.

Current financials assets increased by 32.0% as at June 30, 2025, to ₱2,391 million mainly due to additions to financial assets at FVTPL (net of disposals).

Noncurrent Assets	June 30, 2025		December 31, 2024		Increase (Decrease)	
	Unaudited	% to Total (In %)	Audited	% to Total (In %)	Amount	In %
in ₱ millions, except percentages						
Noncurrent receivables	1,405	3	1,320	3	85	6.4
Guaranty Asset	8,297	18	8,129	18	168	2.1
Financial assets at FVOCI	658	2	814	2	(156)	(19.2)
Investments in associates and joint ventures	1,141	3	1,134	3	7	0.6
Property, plant and equipment	25,901	57	25,507	58	394	1.5
Intangible Assets	5,856	13	5,456	12	400	7.3
Deferred tax assets – net	971	2	1,008	2	(37)	(3.7)
Other noncurrent assets	926	2	791	2	135	17.1
Total	45,155	100	44,159	100	996	2.3

Noncurrent receivables increased by 6.4% from ₱1,320 million as at December 31, 2024 to ₱1,405 million as at June 30, 2025 mainly due to additional interest-bearing noncurrent receivable from MNSPL.

Financial assets at FVOCI pertains to subscription to 820,268,295 common shares out of the unissued authorized capital stock of Figaro Coffee Group (FCG), Inc. amounting to ₱820 million and subscription to 665,845 Series B Preferred Stock of Terramino, Inc., amounting to ₱109 million. Figaro is a quoted securities, as at June 30, 2025, the fair value of FCG was based on quoted prices. The fair value of Terramino, Inc. approximates its transaction price.

Intangible assets increased by 7.3% from ₱5,456 million as at December 31, 2024 to ₱5,856 million as at June 30, 2025 mainly due to ₱101 million reclassification of MNUK from construction in progress account under Property, Plant and Equipment to intangibles in progress account for software under installation.

Other noncurrent assets increased by 17.1% from ₱791 million as at December 2024 to ₱926 million as at June 30, 2025 mainly due to increase in advances to suppliers and contractors related to payments for capital expenditures.

Current Liabilities

The Group's current liabilities decreased by 17.7%, from ₱15,537 million as at December 31, 2024, to ₱12,794 million as at June 30, 2025, mainly due lower accounts payable and trust receipt payable.

	June 30, 2025		December 31, 2024		Increase (Decrease)	
	Unaudited	% to Total (In %)	Audited	% to Total (In %)	Amount	In %
in ₱ millions, except percentages						
Accounts payable and other current liabilities	11,111	87	12,550	81	(1,439)	(11.5)
Acceptances and trust receipts payable	748	6	1,608	10	(860)	(53.5)
Refund liabilities	345	2	379	2	(34)	(9.0)
Current portion of lease liabilities	93	1	78	1	15	19.2
Current portion of loans payable	–	–	364	2	(364)	(100.0)
Income tax payable	497	4	558	4	(61)	(10.9)
Total	12,794	100	15,537	100	(2,743)	(17.7)

Accounts payable and other current liabilities decreased by 11.5%, from ₱12,550 million as at December 31, 2024 to ₱11,111 million as at June 30, 2025, mainly due to payments of non-trade payables of the Parent Company. In addition, December payables were higher due to early payment cut-off for year-end.

Acceptances and trust receipts payable decreased by 53.5%, from ₱1,608 million as at December 31, 2024, to ₱748 million as at June 30, 2025, due to trust receipt settlements to save on interest and as part of foreign exchange management in view of higher cash availability.

Refund liabilities decreased by 9.0%, from ₱379 million as at December 31, 2024 to ₱345 million as at June 30, 2025. The provision was consistent with PFRS 15.

Current portion of lease liabilities pertains to leases that were due within 12 months. The increase of 19.2%, from ₱78 million as at December 31, 2024 to ₱93 as at June 30, 2025, mainly came from lease liabilities of MNUK.

Current portion or loans payable decreased by 100%, from ₱379 million as at December 31, 2024 to nil as at June 30, 2025, since all loans payable of MNUK are reported as noncurrent due to extension.

Income tax payable decreased by 10.9%, from ₱558 million as at December 31, 2024, to ₱497 million as at June 30, 2025, mainly due to payment of income tax payable related to Q4 2024 taxable income and lower taxable income for APAC BFB.

Noncurrent Liabilities

The Group's noncurrent liabilities decreased by 23.7%, from ₱7,011 million as at December 31, 2024, to ₱5,346 million as at June 30, 2025 mainly due to payment of loans.

	June 30, 2025		December 31, 2024		Increase (Decrease)	
	Unaudited	In %	Audited	In %	Amount	%
in ₱ millions, except percentages						
Lease liabilities	2,452	46	2,522	36	(70)	(2.8)
Pension liability	1,309	24	1,285	18	24	1.9
Loans payable	1,179	22	2,842	41	(1,663)	(58.5)
Derivative liability	349	7	289	4	60	20.8
Deferred tax liabilities – net	31	1	32	–	(1)	(3.1)
Other noncurrent liabilities	26	–	41	1	(15)	(36.6)
Total	5,346	100	7,011	100	(1,665)	(23.7)

Loans payable decreased by 58.5%, from ₱2,842 million as at December 31, 2024, to ₱1,179 million as at June 30, 2025, due to the payment of the MNUK loans.

Derivative liability increased by 20.8% from ₱289 million as at December 2024 to ₱349 million as at June 30, 2025 mainly due to mark to market adjustment for THB cross currency swap.

Other noncurrent liabilities decreased by 36.6% from ₱41 million as at December 2024 to ₱26 million as at June 30, 2025 mainly due to decrease in noncurrent liabilities of MNSPL due to derecognition asset retirement obligation related to a discontinued lease.

Equity

The Group's total equity increased by 5% from ₱55,539 million as at December 31, 2024 to ₱58,283 million as at June 30, 2025, due to result of operations for H1 2025 and favorable cumulative translation adjustments due to strengthening of British Sterling Pounds and Thailand Baht against Philippines Peso.

LIQUIDITY AND CAPITAL RESOURCES

Overview

The Group's principal sources of liquidity are cash flows from its operations, borrowings, and IPO proceeds. For the twelve months ended December 31, 2024, the Group's cash flows from operations were sufficient to provide for its operations, dividend payments, and CapEx requirements. The IPO proceeds were fully used up as at June 30, 2024. For the six months ended June 30, 2025, the Group's cash flows from operations were sufficient to provide for its operations, dividend payments, and CapEx requirements.

The Group's principal requirements for liquidity are for purchases of raw materials and payment of other operating expenses, investments in production equipment, payment of cash dividends, and other working capital requirements.

The cash flows of the Group are primarily from the operations of its APAC BFB Business. The Group expects that its operating cash flow will continue to be sufficient to fund its operating expenses, dividend payments, and CapEx. The Group also maintains long- and short-term credit facilities with various financial institutions, which can support any temporary liquidity requirements. Any excess capital expenditure beyond the operating cash flow will be funded by bank borrowings.

Cash Flows

The following discussion of the Group's cash flows for the six months ended June 30, 2025, and 2024 should be read in conjunction with the statements of cash flows and notes included in Unaudited Consolidated Financial Statements.

The table below sets forth the principal components of the Group's statements of cash flows for the periods indicated.

	Six Months ended, June 30	
	2025	2024
	Unaudited, (in ₱ millions)	
Net cash flows provided by operating activities	4,310	5,987
Net cash flows used in investing activities	(2,069)	(2,247)
Net cash flows used in financing activities	(5,349)	(7,446)
Net increase in cash and cash equivalents	(3,108)	(3,706)
Effect of Exchange Rate Changes on cash and cash equivalents	3	15
Cash and cash equivalents at beginning of year	14,158	16,679
Cash and cash equivalents as at June 30,	11,053	12,988

Net cash flow provided by operating activities

The net cash flows provided by operating activities were ₱4,310 million for the six months ended June 30, 2025. Cash generated from operations (after adjusting for, among other things, depreciation, amortization, and working capital changes) was ₱5,699 million. The Group generated cash from interest received amounting to ₱182 million and paid income taxes of ₱1,572 million.

The net cash flows provided by operating activities were ₱5,987 million for the six months ended June 30, 2024. Cash generated from operations (after adjusting for, among other things, depreciation, amortization, and working capital changes) was ₱7,369 million. The Group generated cash from interest received amounting to ₱277 million and paid income taxes of ₱1,660 million.

Net cash flows used in investing activities

The Group's net cash flows used in investing activities were ₱2,069 million for the six months ended June 30, 2025. The net cash outflow primarily due to various CapEx amounting to ₱1,281 million. The other cash outflows pertain to additions to financial assets at FVTPL (net of disposals) amounting to ₱513 million.

The Group's net cash flows used in investing activities were ₱2,247 million for the six months ended June 30, 2024. The net cash outflow primarily due to various CapEx amounting to ₱1,634 million and increase in other noncurrent assets due to advances to suppliers and contractors amounting to ₱794 million.

Net cash flows used in financing activities

The net cash flows used from financing activities were ₱5,349 million for the six months ended June 30, 2025. The net cash outflows are mainly attributed to cash dividend payments amounting to ₱2,695 million and partial settlement of MNUK loan amounting to ₱2,454 million.

The net cash flows from financing activities were ₱7,446 million for the six months ended June 30, 2024. The net cash outflows primarily consist of payments of dividend, MNUK loans and lease liabilities. Payment of lease liabilities includes new lease agreement between MMYSC and TIPCO Estates Corporation for the lease of certain industrial lots inside the TECO Industrial Park located in Mabalacat, Pampanga. The lease agreement is valid for 50 years and is renewable for another 25 years. For balance sheet presentation purposes, this is included as part of Property, Plant and Equipment as right-of-use-asset under PFRS 16, Leases.

FINANCIAL RATIOS / KEY PERFORMANCE INDICATORS

The following are the major financial ratios that the Group uses and monitors.

The top five key performance indicators are Sales Growth, Gross Margin, Net Profit margin, Core EBITDA margin, and Core Return on equity.

	June 30, 2025	December 31, 2024
Current ratio	2.44	2.18
Acid test ratio	1.61	1.52
Solvency ratio*	0.67	0.56
Debt-to-equity ratio	0.31	0.41
Asset-to-equity ratio	1.32	1.41
	Six Months ended	
	2025	2024
Net Sales Growth**	3.3%	3.1%
Gross Margin**	33.3%	34.7%
Core Net Income After Tax margin (at ownership)	11.4%	12.7%
Core EBITDA Margin	19.3%	20.3%
Interest rate coverage ratio	33.0	23.6

* Annualized for H1 2025 [H1 2025 plus H2 2024], 2024 based on full year

**Comparable growth to reflect IFRS-15 adjustment in MNUK in Q1 2023, the reported year-on-year growth was 1.3%

The manners by which the ratios are computed are as follows:

Financial ratios	Formula
Current ratio	Current assets
	Current liabilities
Acid test ratio	Cash and cash equivalents + Current receivables+ Current Financial Assets
	Current liabilities
Solvency ratio	Net income attributable to equity holders of the Company + Depreciation and amortization + Impairment Loss (Trailing 12 months)
	Total liabilities
Debt-to-equity ratio ⁽¹⁾	Total liabilities (current + noncurrent)
	Equity attributable to equity holders of the Company
Asset-to-equity ratio	Total assets (current + noncurrent)
	Equity attributable to equity holders of the Company
Interest rate coverage ratio ⁽²⁾	EBITDA
	Finance Costs
Net Sales Growth	Current period net sales – prior period net sales
	Prior period net sales
Gross margin	Gross profit
	Net Sales
Core EBITDA Margin	Core EBITDA
	Net Sales
Core Income After Tax (at ownership)	Core Income after-tax at Ownership
	Net sales

Note:

⁽¹⁾ (average) means the average of the amounts from the beginning and end of the same period.

Capital Expenditures

The Group's Capital Expenditures (CapEx) were primarily attributable to positioning the Group's APAC BFB Business and Meat Alternative Business to develop new business, expand the Group's production capacity and capability, and improve operational efficiencies. The Group invested in the construction of a new manufacturing plant, new production lines, and machineries.

The table below sets out the Group's estimated 2025 CapEx plan and actual spend for the six months ended June 30, 2025, and 2024.

	FY Plan	H1 Actual	
	2025	2025	2024
	(in ₱ millions)		
Property Plant and Equipment			
APAC BFB	3,044	956	1,266
Meat Alternative	976	325	368
Total Property Plant and Equipment	4,020	1,281	1,634
Right-of-Use (ROU) Assets			
APAC BFB	—	—	793
Meat Alternative	—	3	—
Total ROU Assets	—	3	793
Total	4,020	1,284	2,427

In H1 2024, major CapEx was primarily on new production capability, capacity expansion in Davao, and operational efficiencies. Meanwhile, in H1 2025, major CapEx was primarily on new production capability, initial investment related to capacity expansion, operational efficiencies, and investment in system to support the Group.

In H1 2024, Meat Alternative's major CapEx investments were primarily due to for fermentation, long life paste design, research and development, and other capabilities. Meanwhile, in H1 2025, investments were primarily related to operational efficiencies.

2025 capital plan in APAC BFB is primarily to improve capacity and development capability. Meat Alternative's 2025 plan mainly to improve operational/cost efficiencies to support supply transformation programme.

OTHER FINANCIAL DATA

I. RECONCILIATION OF PFRS TO NON-PFRS MEASURES

The following tables set out PFRS to non-PFRS reconciliation for the period indicated:

	Six months ended, June 30, 2025			
	PFRS	Non-PFRS Adjustments		Non-PFRS
	Reported	APAC BFB	Meat Alternative	Reported
		(in ₪ millions)		
NET SALES	41,457	–	–	41,457
Less: COST OF GOODS SOLD	27,661	–	–	27,661
GROSS PROFIT	13,796	–	–	13,796
Less: SALES, GENERAL AND ADMINISTRATIVE EXPENSES				
Impairment loss	55	(55)	–	–
General and administrative expenses	3,877	–	(146)	3,731
Selling expenses	3,713	–	–	3,713
	7,645	(55)	(146)	7,444
Core Other Income/(Expense)				
Miscellaneous Income	–	49	–	49
Interest Expense - Orchid+Trust Receipts	–	(155)	–	(155)
Forex loss on USD Stockpile	–	(96)	–	(96)
	–	(202)	–	(202)
CORE INCOME BEFORE TAX	6,151	(147)	146	6,150
OTHER INCOME (CHARGES)				
Loss on Change in fair value of Guaranty Asset	(305)	–	–	(305)
Foreign exchange gain (loss) – net	(146)	96	–	(50)
Share in net earnings of an associate	7	–	–	7
Market valuation gain on financial instruments at fair value through profit or loss	78	–	–	78
Miscellaneous + dividend Income	211	(49)	–	162
	(155)	47	–	(108)
INCOME BEFORE FINANCE INCOME (EXPENSES)	5,996	(100)	146	6,042
FINANCE INCOME (EXPENSES)				
Finance Income	197	–	–	197
Finance Costs	(243)	155	–	(88)
Derivative gain	19	–	–	19
	(27)	155	–	128
Other Non-Recurring Expenses				
Impairment Loss -net	–	(55)	–	(55)
Restructuring costs in MNUK	–	–	(146)	(146)
	–	(55)	(146)	(201)
INCOME BEFORE INCOME TAX	5,969	–	–	5,969
PROVISION FOR CURRENT INCOME TAX				
Current	1,511	–	–	1,511
Deferred	43	–	–	43
PROVISION FOR CURRENT INCOME TAX	1,554	–	–	1,554
NET INCOME FROM CONTINUING OPERATIONS	4,415	–	–	4,415

	Six months ended, June 30, 2024			
	PFRS	Non-PFRS Adjustments		Non-PFRS
	Reported	APAC BFB	Meat Alternative	Reported
		(unaudited, in ₱ millions)		
NET SALES	40,136	–	–	40,136
Less: COST OF GOODS SOLD	26,200	–	–	26,200
GROSS PROFIT	13,936	–	–	13,936
Less: SALES, GENERAL AND ADMINISTRATIVE EXPENSES				
Impairment loss – Net	17.0	(17)	–	–
General and administrative expenses	3,770	–	(38)	3,732
Selling expenses	3,520	–	–	3,520
	7,307	(17)	(38)	7,252
Core Other Income/(Expense)				
Miscellaneous Income	–	–	–	–
Interest Expense - Orchid+Trust Receipts	–	(266)	–	(266)
Forex loss on USD Stockpile	–	232	–	232
	–	(34)	–	(34)
CORE INCOME BEFORE TAX	6,629	(17)	38	6,650
OTHER INCOME (CHARGES)				
Gain (Loss) on Change in FV of Guaranty Asset	(1,218)	–	–	(1,218)
Foreign exchange gain (loss) – net	206	(232)	–	(26)
Share in net earnings of an associate	26	–	–	26
Market valuation gain (loss) on financial instruments at fair value through profit or loss	38	–	–	38
Miscellaneous + dividend Income	114	–	–	114
	(834)	(232)	–	(1,066)
INCOME BEFORE FINANCE INCOME (EXPENSES)	5,795	(249)	38	5,584
FINANCE INCOME (EXPENSES)				
Finance Income	271	–	–	271
Finance Costs	(344)	266	–	(78)
Derivative gain	40	–	–	40
	(33)	266	–	233
Other Non-Recurring Expenses				
Impairment Reversal/(Loss) -Net	–	(17)	–	(17)
Restructuring costs in MNUK	–	–	(38)	(38)
	–	(17)	(38)	(55)
INCOME BEFORE INCOME TAX	5,762	–	–	5,762
PROVISION FOR CURRENT INCOME TAX				
Current	1,718	–	–	1,718
Deferred	(53)	–	–	(53)
PROVISION FOR CURRENT INCOME TAX	1,665	–	–	1,665
NET INCOME FROM CONTINUING OPERATIONS	4,097	–	–	4,097

II. EBITDA Reconciliation

The following tables set out EBITDA reconciliation with respect to the Group's business segments for the period indicated:

For the six months ended Jun 30, 2025			
	APAC BFB	Meat Alternative	Total
(Unaudited, in ₱ millions)			
Income before Income Tax	6,659	(690)	5,969
Interest Expense	120	123	243
Interest Income	(174)	(23)	(197)
EBIT	6,605	(590)	6,015
Derivative Gain	(14)	(5)	(19)
Foreign Exchange Loss – net	145	1	146
Loss on Change in FV of Guaranty Asset	–	305	305
Restructuring costs and supply costs transformation in MNUK	–	146	146
Impairment Loss	55	–	55
Depreciation and Amortization Expense	1,062	308	1,370
Core EBITDA	7,853	165	8,018

For the six months ended June 30, 2024			
	APAC BFB	Meat Alternative	Total
(Unaudited, in ₱ millions)			
Income before Income Tax	7,633	(1,871)	5,762
Interest Expense	149	195	344
Interest Income	(235)	(36)	(271)
EBIT	7,547	(1,712)	5,835
Derivative Gain	(40)	–	(40)
Foreign Exchange (Gain)/Loss (net)	(212)	5	(207)
Loss due to Change in FV of Guaranty Asset	–	1,218	1,218
Restructuring Costs	–	38	38
Impairment Loss	17	–	17
Depreciation and Amortization Expense	967	307	1,274
Core EBITDA	8,279	(144)	8,135

III. FINANCIAL LIABILITIES

The following table summarizes the Group's financial liabilities as at June 30, 2025.

(Unaudited, in ₱ millions)						
	On Demand	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Financial Liabilities						
Trade and other payables*	1,302	7,944	906	–	–	10,152
Loans Payable**	–	5	–	1,180	–	1,185
Lease liabilities	–	79	196	878	7,341	8,494
Acceptance and trust receipts payable	–	–	748	–	–	748
	1,302	8,028	1,850	2,058	7,341	20,579

* Excluding statutory payables

** including amount of interest

Off-Balance Sheet Arrangements

As at June 30, 2025, the Group did not have any material off-balance sheet arrangements or obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the reporting period that were likely to have a current or future effect on the Group's financial condition, revenues or expenses, results of operations, liquidity, capital expenditures, or capital resources.

Quantitative and Qualitative Disclosure of Market Risk

The Group's APAC BFB Business and Meat Alternative Business are exposed to various types of market risks in the ordinary course of business, including foreign currency risk, commodity price risk, interest rate risk, liquidity risk, and credit risk. For more information on risks discuss below, see Note 22 to Unaudited Consolidated Financial Statements.

1. Foreign Currency Risk

The Group operates internationally and is exposed to foreign currency risk arising from currency fluctuations in respect of business transactions denominated in foreign currencies. The Group enters derivative transactions to manage foreign currency risks, including currency swaps and currency options.

2. Commodity Price Risk

The Group is exposed to price volatility arising from the utilization of certain commodities as raw materials, packaging materials, and fuel in its production processes. To minimize the Group's risk of potential losses due to volatility of international crude and product prices, the Group enters into short and longer tenor contracts for commodities such as flour and palm oil.

3. Interest Rate Risk

The Group is exposed to interest rate risk arising from its long-term debt obligations with floating interest rates. The Group manages its interest rate risk by maintaining a balanced portfolio of fixed and variable rate loans and borrowings.

4. Liquidity Risk

The Group is exposed to the risk of not meeting its payment obligations when they fall due. The Group manages its liquidity risk by monitoring and maintaining a level of cash deemed adequate by management to finance the Group's operations, ensure continuity of funding, and mitigate the effects of fluctuations in cash flows.

5. Credit Risk

The Group is exposed to the risk that a counterparty may not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating (primarily trade receivables) and financing activities. The Group manages its credit risk by monitoring receivables from each customer.

Contingencies

As at June 30, 2025, the Group is involved in certain proceedings and regulatory assessments, and management believes that these proceedings will not have a material effect on the consolidated financial statements. Disclosure of additional details beyond the present disclosure may seriously prejudice the Group's position and negotiating strategy.

Capital Commitments

The Group has capital commitments for acquisitions of machineries and building expansions amounting to ₱1,856.4 million and ₱1,843.6 million as at June 30, 2025 and December 31, 2024, respectively.

OTHER MATTERS

Commodity Prices

The Company continues to see stability of wheat prices and has been experiencing increases in the price of coconut oil and palm oil. The Parent Company has substantially secured based on estimated requirements for wheat and palm oil in 2025.

Subsequent events

CCS contract

On July 24, 2025, the Parent Company entered into another non-deliverable CCS Agreement with a notional amount of ₱765.8 million (THB 435.0 million). Under the new CCS agreement, the Company will receive Philippine Peso interest at 12.70% p.a. and will pay fixed Thailand Baht interest at 9% p.a. The Company will also pay the notional Thailand Baht amount in exchange for the Philippines Peso amount at the end of the swap period. The CCS, which will be designated as a hedge of a portion of the net investment in MIL and MNTH, is used to hedge the Parent Company's exposure to the THB foreign exchange risk on its investment in MIL and MNTH.

Others

There are no unusual items regarding the nature and amount affecting assets, liabilities, equity, net income, or cash flows, except those stated in Management's Discussion and Analysis of Financial Position and Financial Performance.

There were no material changes in estimates of amounts reported in prior interim periods of the current year or changes in estimates of amounts reported in prior financial years.

There were no other known trends, events or uncertainties that have had or that are reasonably expected to have a favourable or unfavourable impact on net sales or income from continuing operations, except those stated above and in the Management's Discussion and Analysis of Factors affecting the Operations, Financial Position and Financial Performance.

Below is the foreign exchange rate used in the translation of the Income Statement and Balance Sheet Items to Philippine Peso.

	Six Months Average Rate, ending June 30,		Closing Rate	
	2025	2024	June 30, 2025	December 31, 2024
1 GBP	74.0599	71.9890	77.1990	72.8477
1 USD	57.1121	56.8993	56.3350	57.2925

PART II-OTHER INFORMATION

Board of Directors

The following table sets forth the Company's Board of Directors as of June 30, 2025:

Name	Position
Hartono Kweefanus	Chairperson Emeritus
Kataline Darmono	Chairperson
Hoediono Kweefanus	Vice-Chairperson
Betty T. Ang	President
Henry Soesanto	Executive Vice President and Chief Executive Officer
Monica Darmono	Treasurer
Nina Perpetua D. Aguas	Lead Independent Director
Anabelle L. Chua	Independent Director
Ramon Felicisimo M. Lopez	Independent Director

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

MONDE NISSIN CORPORATION

Issuer

August 13, 2025

Date

HENRY SOESANTO
Chief Executive Officer

JESSE C. TEO
Chief Financial Officer